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ARK MINES LTD.

RARE EARTH AND CRITICAL MINERAL DEVELOPER

ACN 123 668 717

Annual Report

For the Year Ended 30 June 2026

CORPORATE

Directors	Roger A Jackson Benjamin P Emery Thomas W Patterson Ian B Mitchell (Retired 30 June 2026)
Company Secretaries	Ian K White Ian B Mitchell (Retired 6 August 2026)
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Auditor	Moore Australia Audit (WA) Level 15 Exchange Tower 2 The Esplanade Perth WA 6000
Solicitors	Thomsons Level 28, One Eagle – Waterfront Brisbane 1 Eagle Street Brisbane QLD 4000
Bankers	National Australia Bank 292 Pitt Street Sydney NSW 2000
Securities Exchange Listing	Ark Mines Ltd shares are listed on the Australian Securities Exchange (ASX code: AHK)
Website Address	www.arkmines.com

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For the Year Ended 30 June 2026

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EXECUTIVE CHAIRMAN'S REVIEW OF OPERATIONS

For the year ended 30 June 2026



"Sandy Mitchell moved from exploration to development this year. The Mining Lease and Environmental Authority are granted and the Queensland Investment Corporation has backed the project. Since year end, our Mineral Resource has grown 428% in tonnes to 379.4 Mt at 5,430 ppm MzEq, 97% Measured and Indicated, with some 508,000 tonnes of contained monazite. IHC Robbins has produced saleable monazite and titanium products from our own ore by simple physical separation — no chemicals, no crushing, no grinding. Nature has done most of the work. Ark is now focused on a Pre-Feasibility Study and a producing mine."

Highlights

- Updated JORC (2012) Mineral Resource Estimate of 379.4 Mt at 5,430 ppm MzEq announced after year end, with 97% in the Measured and Indicated categories — a 428% increase in tonnes over the October 2024 estimate.[12]
  - Measured: 73.2 Mt @ 4,990ppm MzEq
  - Indicated: 296.4 Mt @ 5,570ppm MzEq
  - Inferred: 9.8 Mt @ 4,630ppm MzEq

  reported at a 1,957 ppm MzEq lower cut-off grade
  - Total Heavy Minerals of 3.0% and Total Commercial Minerals of 16.2% equating to approximately 11.4Mt of contained heavy minerals and 61.5 Mt of contained commercial minerals (in-situ; no metallurgical recovery applied).
  - Estimated in-situ contained minerals of approximately 508,000 t monazite, 527,000 t monazite plus xenotime, 140,000t TREO+Y and 254,000t zircon (in-situ; no metallurgical recovery applied).
  - High-value basket of heavy and industrial minerals, with total grades: Monazite 1,340 ppm, Xenotime 50 ppm, Zircon 670 ppm; Titanium minerals – Rutile 80 ppm, high-Ti Leucoxene 240 ppm, low-Ti Leucoxene 150ppm, Altered Ilmenite 250 ppm and Ilmenite 270ppm; and Garnet 2.7%, with muscovite (1.1%) and biotite (12.0%) mica as potential co-products.
  - Magnetic rare earth oxides (Nd, Pr, Dy, Tb) average 90 ppm, or approximately 26% of the TREO basket.
  - Mineralisation extends from surface to an average sand depth of approximately 11 metres, amenable to low-cost, free-dig, open-pit mining methods.
  - Substantial growth potential remains across EPM 28013, with the MRE to feed into an updated Scoping Study and subsequent Pre-Feasibility Study, alongside the IHC Mining metallurgical test work program.
- Sandy Mitchell Mining Lease ML 100409 granted by the Queensland Government, covering approximately 406 hectares over the Mineral Resource.[8]
- Environmental Authority P-EA-100805234 granted for ML 100409.[9]
- $4.5 million investment from the Queensland Investment Corporation Critical Minerals and Battery Technology Fund.[10]
- Stage 3 resource expansion drilling completed — 218 holes for 2,330.5 metres — with assay results received.[3]
- Commercially saleable monazite rare earth and leucoxene titanium products generated from Sandy Mitchell ore by IHC Robbins.[1]
- High-grade rare earth concentrate of up to 54.8% TREO produced, within the normal commercial grade range of 45–55% TREO.[1]
- Premium 73.5% TiO_2 leucoxene titanium product produced using dry magnetic and electrostatic processing.[1]
- Gold intercepted in paleochannel drilling south of the Sandy Mitchell Measured Resource.[4]
- Jackson Fluorite Project secured through the grant of EPM 29189 near Chillagoe, adding further critical minerals exposure.[7]

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Sandy Mitchell - Rare Earth and Heavy Minerals

Sandy Mitchell is Ark's flagship project and the focus of the Company's development strategy. It is a shallow rare earth, heavy mineral and industrial mineral sand deposit with granted development tenure, Queensland Government-backed funding and demonstrated commercial-grade products.

Key Project Highlights

Ark's flagship project
100%-owned rare earth and heavy mineral sands project in North Queensland and the Company's primary development focus.

Mining Lease and EA granted
Mining Lease ML 100409 and Environmental Authority P-EA-100805234 granted, reducing regulatory risk and advancing the development timeline.[8,9]

Backed by the Queensland Government
$4.5 million from the QIC-managed Critical Minerals and Battery Technology Fund — $4.0 million royalty funding and $0.5 million equity — aligned with Queensland's Critical Minerals Strategy.[10]

Measured and Indicated Resource
379.4 Mt at 5,430 ppm MzEq, with 97% in the Measured and Indicated categories, announced after year end following Stage 3 drilling.[2,3]

Proven, simple processing
Commercial-grade monazite (up to 54.8% TREO) and leucoxene (73.5% TiO_2) produced by gravity, magnetic and electrostatic separation — no chemicals, crushing or grinding.[1]

Multi-mineral revenue potential
Light and heavy rare earths, zircon, titanium minerals, garnet and mica provide potential exposure to several independent end-use markets.

Simple, low-cost mining
Flat-lying, clay-poor sand from surface to ~11 m average depth. Free-dig mining with no drilling, blasting or primary crushing and a negligible strip ratio.

Enriched in magnet rare earths
~26% of the TREO basket is magnet rare earths (Nd, Pr, Dy, Tb) — essential for EV motors, wind turbines, robotics and defence.

Strategic Queensland location
Stable, mining-friendly jurisdiction approximately 120 km north-west of Chillagoe, within reach of established Far North Queensland road and port infrastructure.

Responsible, low-impact development
Physical separation only, with no leach circuit. Extensive groundwater, cultural heritage and flora and fauna baseline studies; nil safety or environmental incidents in FY26.

Strong technical partners
Currumbin Minerals (processing MOU), IHC Robbins (product testwork), HGS Australia (resource estimation) and a monazite cracking technology partner.[11]

Clear pathway to development
Updated Mineral Resource Estimate, then an updated Scoping Study, leading to a Pre-Feasibility Study targeted for completion in CY27.

Note
No Ore Reserve has been estimated and no decision to mine has been made. Key Highlights summarise information detailed in this Review of Operations and the referenced ASX announcements. Refer to page 17 for references.

Location

Sandy Mitchell is located on Mt Mulgrave Station approximately 120 km north-west of Chillagoe in North Queensland, between the Palmer River and the Mitchell River. The project area is flat and sandy with light timber and is grazed by cattle. It is held 100% by the Company under Exploration Permit for Minerals EPM 28013 and Mining Lease ML 100409, and remained the Company's primary focus during the 2026 financial year.

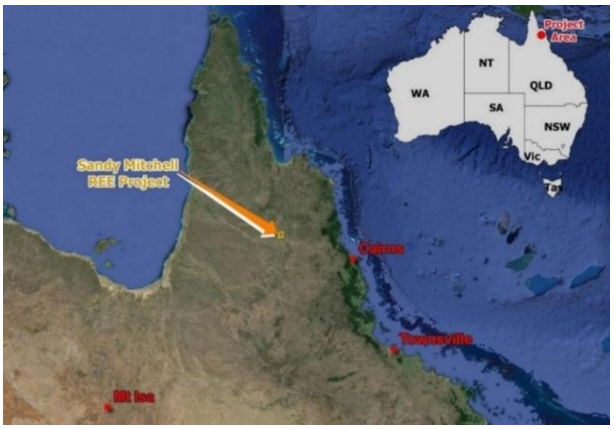


Figure 1: *Location of the Sandy Mitchell Project.*



Figure 2: *Sandy Mitchell is a relatively flat, lightly timbered sandy area of some 110 km².*

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Mineral Resource

On 22 September 2026 the Company announced an updated JORC (2012) Mineral Resource Estimate for Sandy Mitchell of 379.4 Mt at 5,430 ppm Monazite Equivalent ("MzEq"), reported at a 1,957 ppm MzEq lower cut-off grade (refer Notes and ASX References on page 17 for the MzEq calculation).[12] The estimate comprises a Measured Resource of 73.2 Mt at 4,990 ppm MzEq, an Indicated Resource of 296.4 Mt at 5,570 ppm MzEq and an Inferred Resource of 9.8 Mt at 4,630 ppm MzEq. Measured and Indicated material represents 97% of the estimate by tonnage. The estimate supersedes the Measured Mineral Resource of 71.8 Mt at 1,733 ppm MzEq reported on 2 October 2024.

Mineral Resources are stated in detail in the Company's annual Mineral Resource Statement on pages 53 to 54.[2]

The deposit is a shallow, sand-hosted rare earth and heavy minerals system that is simple to mine and amenable to low-cost gravity beneficiation.

- Magnet rare earth oxides (Nd, Pr, Dy, Tb) average 90 ppm, approximately 26% of the TREO basket, positioning Sandy Mitchell among Australia's most MREO-enriched deposits.
- The Mineral Resource contains an estimated 508,000 t of monazite, 527,000t of monazite plus xenotime, 140,000 t of TREO+Y and 254,000 t of zircon, together with approximately 11.4 Mt of total heavy minerals and 61.5 Mt of total commercial minerals, all reported in situ with no metallurgical recovery applied.
- Resource drilling now covers 23.3 km² across Mining Lease ML 100409 and EPM 28013, a fraction of the interpreted mineralised area. The balance remains the subject of the Company's JORC (2012) Exploration Target (see Exploration Target below).[6]

Table 1: *Sandy Mitchell Mineral Resource Estimate by classification at a 1,957ppm MzEq lower cut-off grade (HGS Australia, 2026). The estimate was announced after the end of the financial year on 22 September 2026. The Company's Mineral Resource Statement as at 22 September 2026 is set out on pages 53 to 54.*

Classification	Tonnes (Mt)	MzEq (ppm)	Monazite (ppm)	TREO+Y (ppm)
Measured	73.2	4,990	1,310	430
Indicated	296.4	5,570	1,360	360
Inferred	9.8	4,630	930	370
Total	**379.4**	**5,430**	**1,340**	**370**

Table 2: *Sandy Mitchell Mineral Resource — total reported grades and contained minerals at a 1,957 ppm MzEq lower cut-off grade. Contained tonnes are derived from the rounded total grades and are reported in situ, with no metallurgical recovery applied.*

Total Mineral Resource: 379.4 Mt	Grade	Contained tonnes
Monazite Equivalent (MzEq)	5,430 ppm	2,060,000
Monazite	1,340 ppm	508,000
Xenotime	50 ppm	19,000
Zircon	670 ppm	254,000
Rutile	80 ppm	30,000
High-Ti leucoxene	240 ppm	91,000
Low-Ti leucoxene	150 ppm	57,000
Altered ilmenite	250 ppm	95,000
Ilmenite	270 ppm	102,000
Garnet	2.7%	10,244,000
Muscovite	1.1%	4,173,000
Biotite	12.0%	45,528,000
Total Heavy Minerals (THM)	3.0%	11,382,000
Total Commercial Minerals (TCM)	16.2%	61,463,000
TREO + Y	370 ppm	140,000
TREO	340 ppm	129,000
Critical REO (CREO)	100 ppm	38,000
Magnet REO (MagREO)	90 ppm	34,000

Note

Mineral Resources are reported inclusive of all classifications, on a dry in-situ basis with no metallurgical recovery applied. Figures are rounded and may not sum. No Ore Reserve has been estimated for the Project.

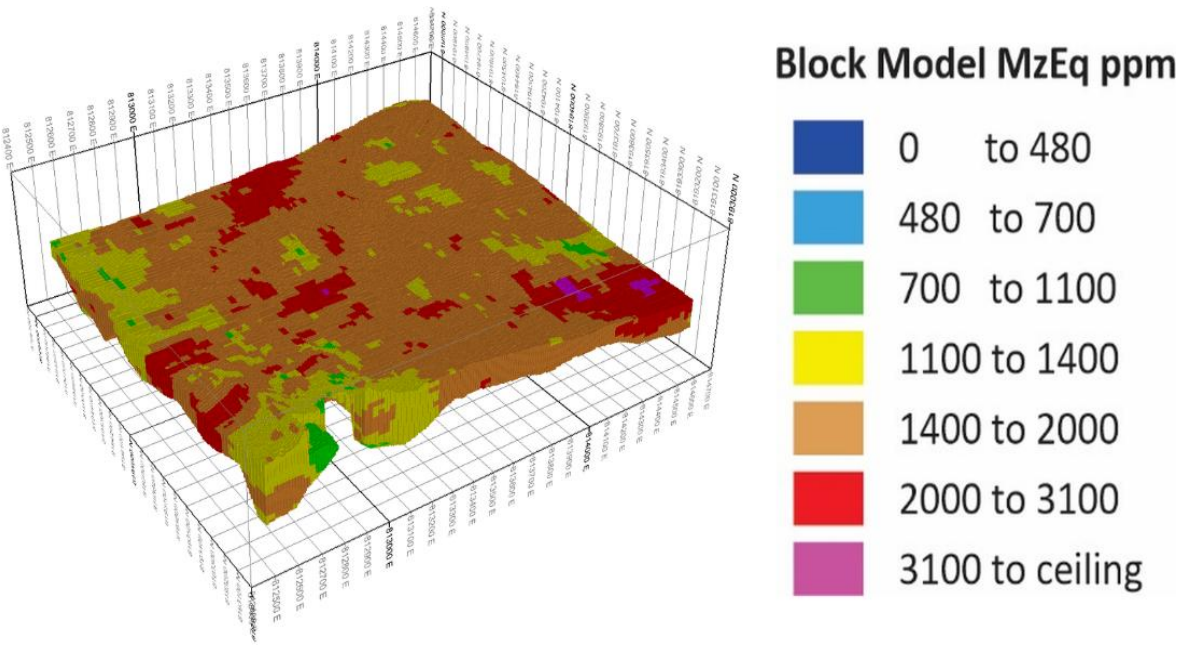


Figure 3: *Sandy Mitchell block model, 10 × vertically exaggerated isometric view looking north-east, coloured on monazite equivalent. The model shown is the 2024 model that informed the Measured Mineral Resource of 71.8 Mt, with a perimeter of 4.06 km² and a volume of 47,172,646 m³. The updated block model covers a 23.3 km² domain of 240.6 million cubic metres.*

Mining Lease Granted

During the year Mining Lease ML 100409 for Sandy Mitchell was granted by the Queensland Department of Natural Resources and Mines, Manufacturing and Regional and Rural Development.[8] The lease covers approximately 406 hectares within EPM 28013 and includes the area containing the Measured Mineral Resource.

The grant marked the transition of Sandy Mitchell from exploration towards development, providing development tenure over the resource area and enabling detailed mine planning and engineering studies, ongoing metallurgical testwork and processing optimisation, infrastructure planning, and engagement with strategic partners and potential offtake customers.

Environmental Authority and Baseline Studies

Environmental Authority P-EA-100805234 was granted under the Environmental Protection Act 1994 (Qld) covering ML 100409.[9] With the Environmental Authority in place, only a security self-assessment remained to complete the permit application.

The approval was supported by an extensive environmental baseline program including monthly groundwater sampling since 2023, a water infiltration study by Hydro Element Solutions, desktop and field cultural heritage assessments by Converge Heritage and Community, and reconnaissance flora and fauna surveys.

Stage 3 Resource Expansion Drilling

A Stage 3 resource expansion drilling program was completed by Australian Exploration Drilling during the year, designed to grow the Mineral Resource beyond the then-current 71.8 Mt at 1,730 ppm MzEq.[2] Drilling was completed on a 280 m by 280 m staggered grid adjacent to the existing resource, extending beyond the boundary of ML 100409 into EPM 28013.

Post year end, the Company reported the Stage 3 results.[3] The program comprised 218 vertical holes for 2,330.5 metres across 18 drill lines, with heavy mineral sands logged from surface to the metamorphic bedrock in every hole at an average sand depth of approximately 10 metres. Assays returned rare earth element, heavy mineral and industrial mineral values in every metre sampled, consistent with the Stage 1 and Stage 2 drilling that informed the existing Measured Resource.

Total Heavy Minerals ("THM") averaged 3.5% across Stage 3 and 3.03% across all stages combined, while Total Commercial Minerals ("TCM") averaged 16.9% across Stage 3 and 15.5% across all stages combined. Stage 3 drilling covers a further 1,924.4 hectares, taking total resource drilling coverage to 2,328.5 hectares.[3]

The combined Stage 1, 2 and 3 data was provided to independent resource consultants HGS Australia, who completed the updated Mineral Resource Estimate announced after the end of the financial year (see Updated Mineral Resource Estimate below). The updated resource, together with the metallurgical testwork program, will feed into an updated Scoping Study and the subsequent Pre-Feasibility Study, targeted for completion in CY27.

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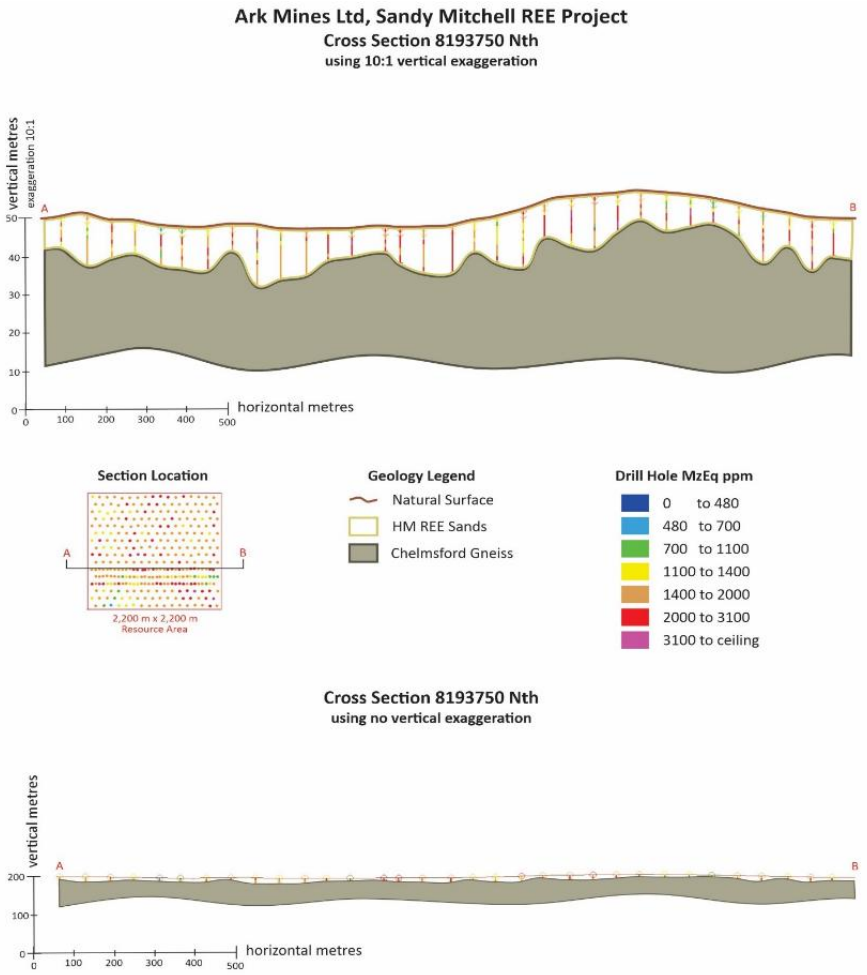


Figure 4: *Sandy Mitchell west-to-east cross section through the REE and heavy mineral sand, coloured for monazite equivalent. The upper section is exaggerated 10 × vertically to make the drill data visible; the lower section is at true scale and shows the low relief of the terrain.*

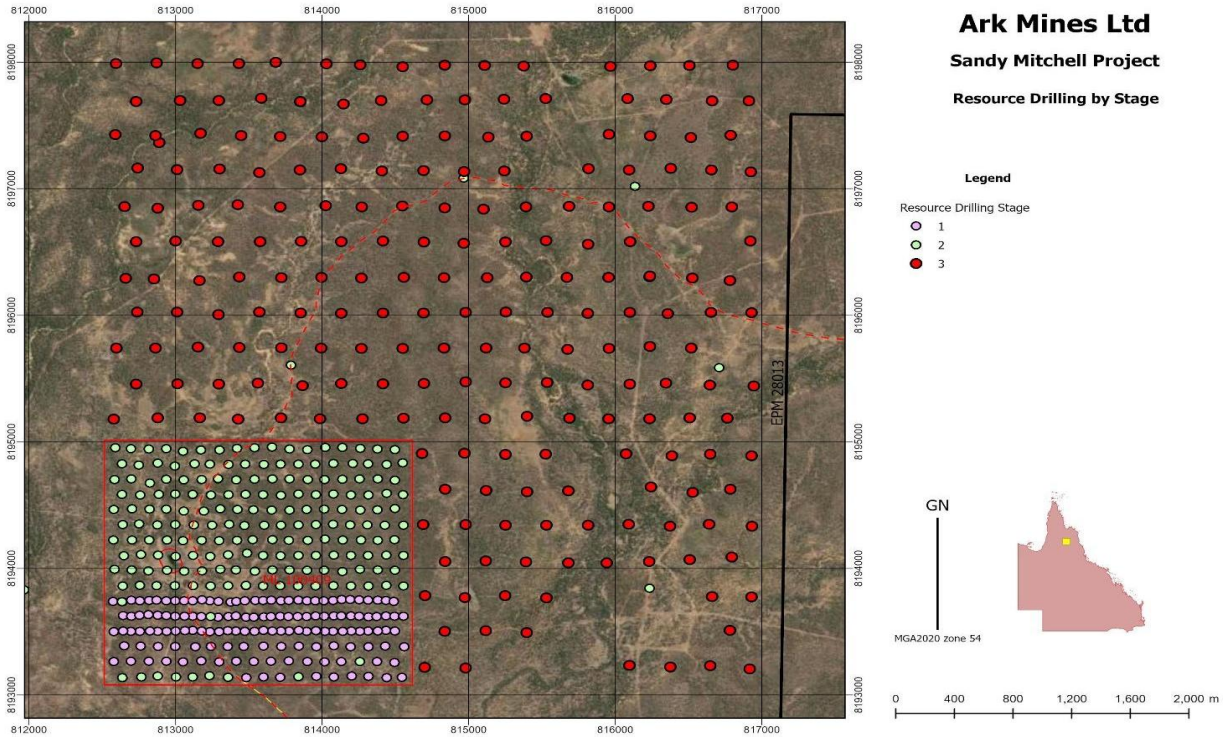


Figure 5: *Sandy Mitchell resource drilling by stage. Stage 3 drilling shown in red.*

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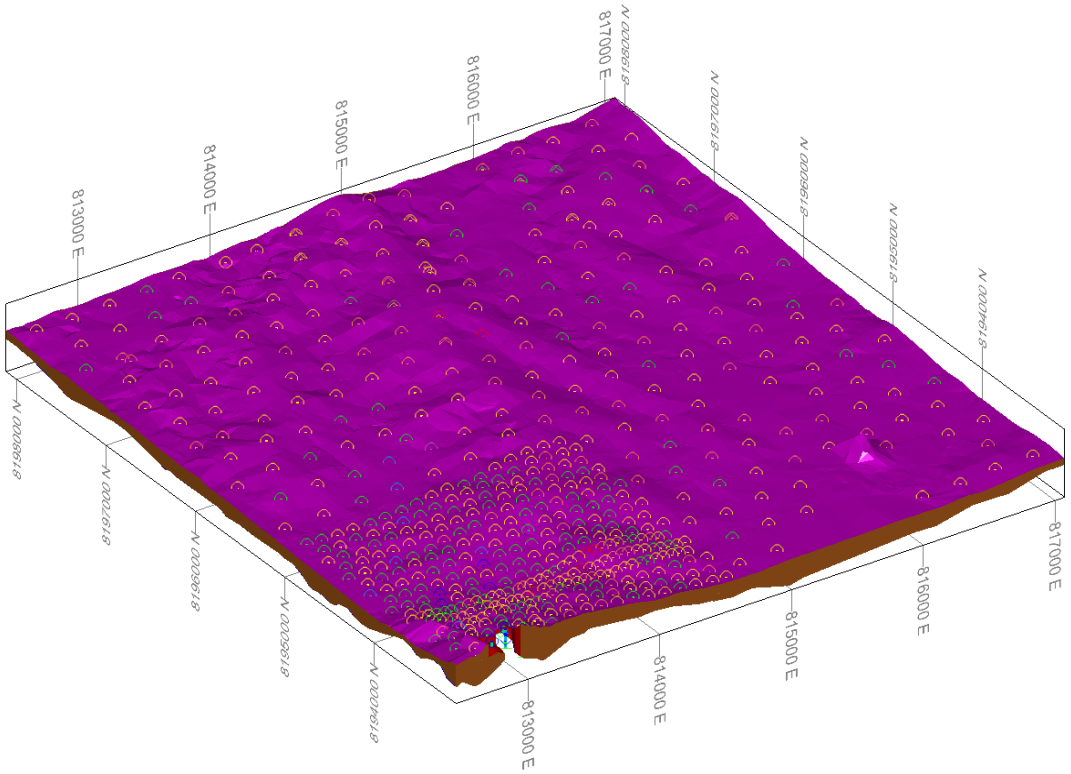


Figure 6: *Mineral sand domain wireframe encompassing all three stages of resource drilling, from the RTK-surveyed topographic surface to the bedrock intersection. Modelled volume 240.6 million cubic metres.*

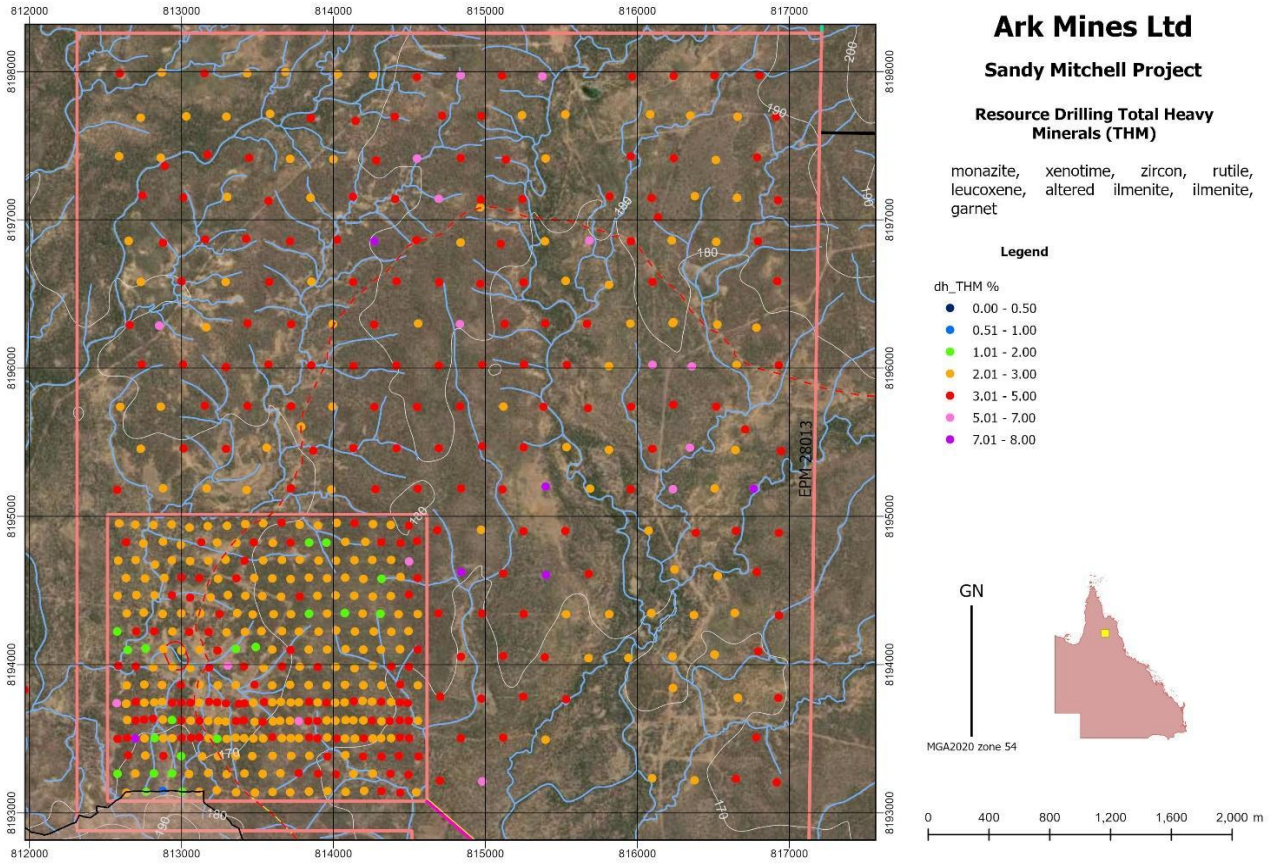


Figure 7: *Stage 3 resource drilling — total Heavy Minerals, comprising monazite, xenotime, zircon, rutile, leucoxene, altered ilmenite, ilmenite and garnet.*

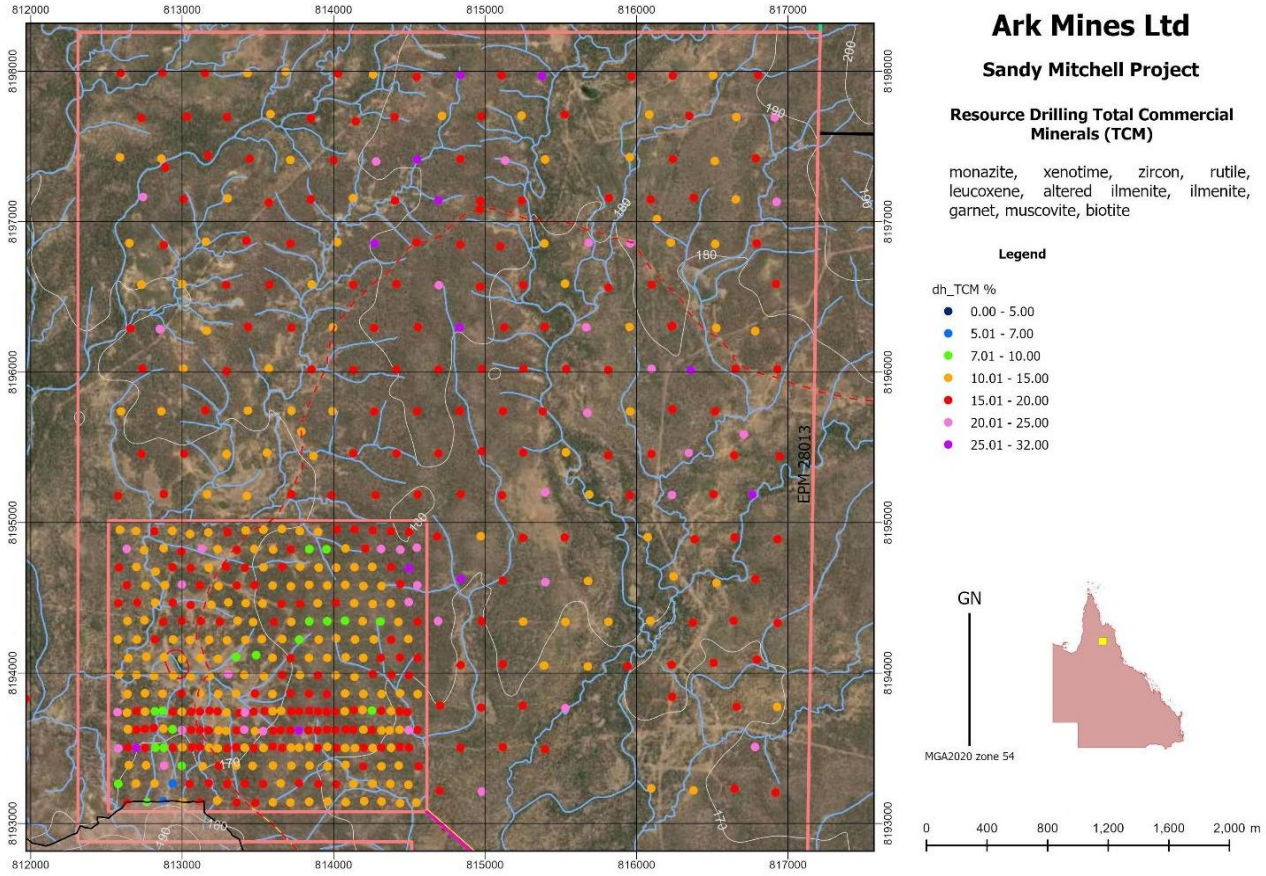


Figure 8: *Stage 3 resource drilling — total Commercial Minerals, being Total Heavy Minerals plus muscovite and biotite.*

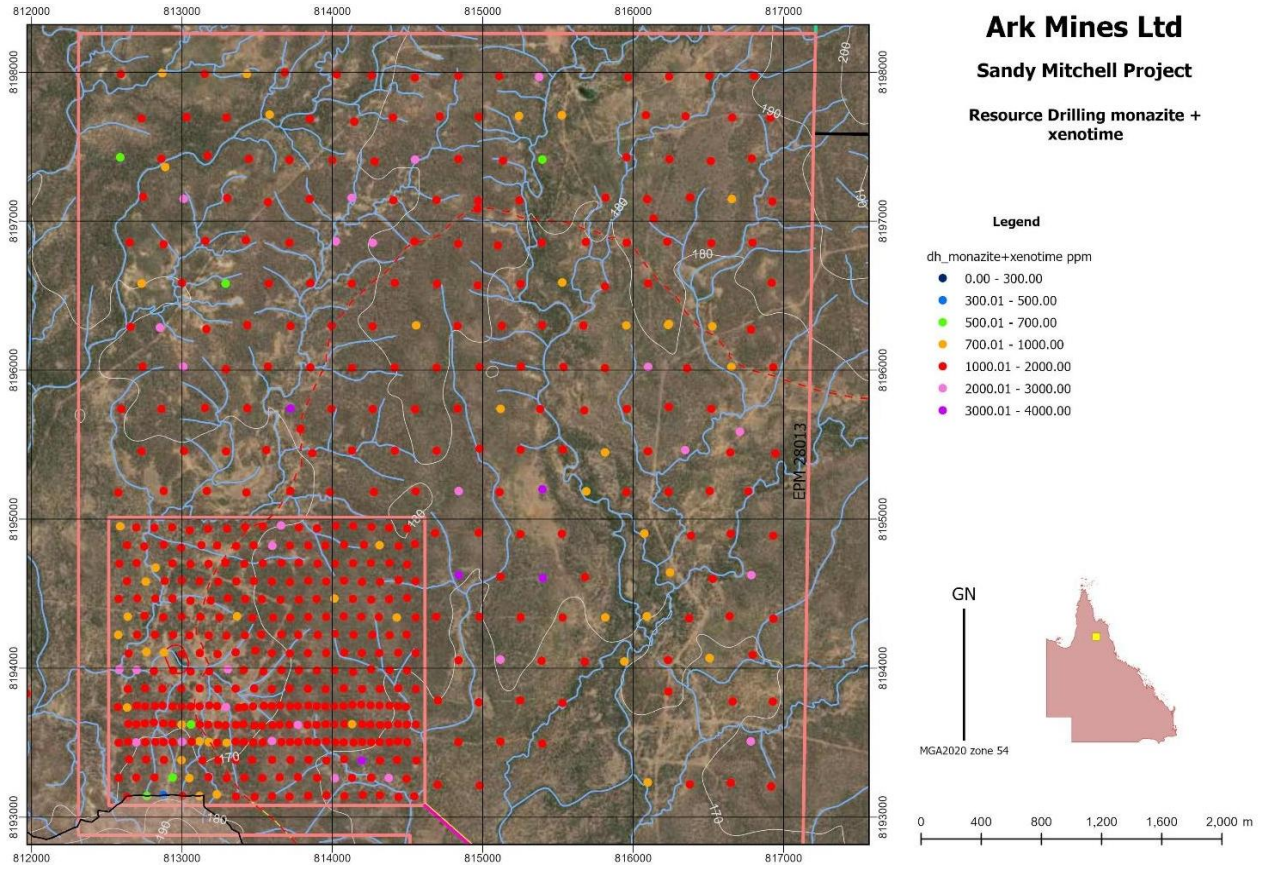


Figure 9: *Stage 3 resource drilling — total monazite plus xenotime, averaging 1,413.5 ppm across Stage 3 and 1,379.8 ppm across all stages combined.*

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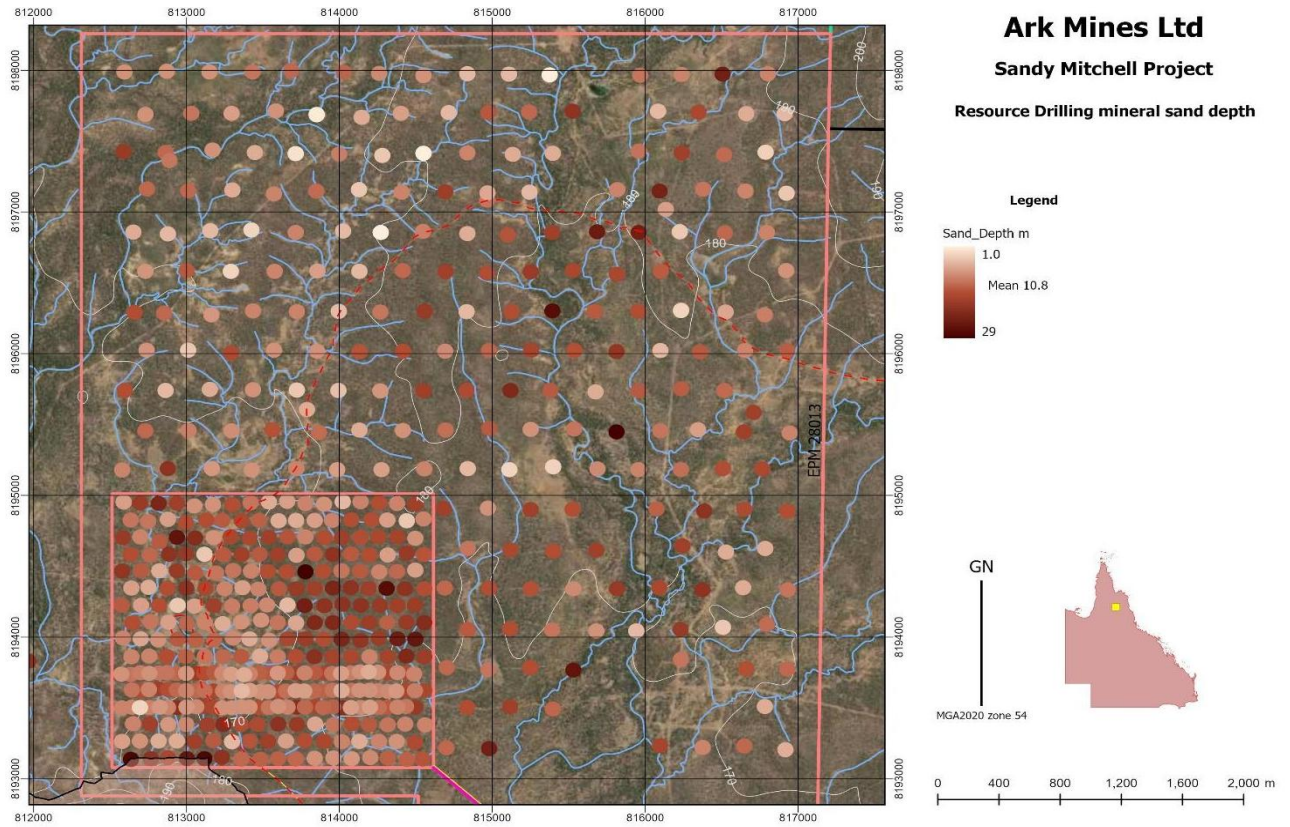


Figure 10: *Sandy Mitchell mineral sand depth, averaging approximately 10 metres from surface to metamorphic bedrock.*

Updated Mineral Resource Estimate

The updated Mineral Resource Estimate was prepared by independent consultants HGS Australia in accordance with the JORC Code (2012) and incorporates all Stage 1, Stage 2 and Stage 3 resource drilling. It was released to the ASX on 22 September 2026, together with the Competent Person's consent and the supporting JORC Code (2012) Table 1.[12] The key elements of the estimation approach are summarised below.

- **Drill spacing designed for confidence.** The Stage 3 280 m by 280 m staggered grid was determined by sensitivity analysis of the variography underpinning the 2024 Measured estimate, and delivered a data density sufficient to support a predominant confidence level of Indicated across the expanded area.
- **Sampling and assaying.** One-metre samples were collected over the full sand column and submitted to NATA-accredited Jinning Test and Inspection for multi-element analysis by sodium peroxide fusion with ICP-MS finish, and four-acid digest with ICP-OES or ICP-MS finish, as appropriate for each element.
- **Quality assurance and quality control.** Field duplicates at one in forty, certified reference standards at one in fourteen, laboratory repeats at one in twelve and blanks at one in forty were inserted through the program, and all raw analytical data was independently reviewed by a chartered analytical chemist before use in estimation.
- **Geological domain.** A mineral sand wireframe was constructed from the RTK-surveyed topographic surface to the bedrock intercept in each hole, giving an interpreted domain of 23.3 km² and 240.6 million cubic metres, and was used to flag and composite the assay data to one-metre intervals.
- **Bulk density.** Bulk density was interpolated into the block model by nearest neighbour from 1,893 gravimetric dry loose measurements ranging from 0.48 to 2.41 t/m³ and averaging 1.53 t/m³.
- **Grade estimation.** Thirty-one elements were estimated independently into a three-dimensional block model of 1,507,629 blocks by ordinary kriging using variographically derived search parameters, with an inverse-distance-squared model run in parallel for validation. Top-cuts were applied to twenty-eight of the thirty-one elements to control statistical outliers.
- **Mineral calculation.** Mineral species were calculated from the estimated elemental grades using stoichiometry and elemental deportments measured by QEMSCAN automated mineralogy. Garnet, muscovite and biotite have been added to the calculated mineral suite and to the monazite equivalent formula, consistent with Clause 50 of the JORC Code.
- **Classification and reporting.** Measured classification was applied in the close-spaced south-western area drilled at 100 m by 100 m or closer, Indicated across the remainder of the estimation domain, and Inferred to one small area in the central south-east where pastoral access prevented drilling. The Competent Person assessed reasonable prospects for eventual economic extraction having regard to the shallow free-dig mining method, negligible strip ratio, clay-poor host, conventional wet gravity processing route and granted tenure.

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Updated Mineral Resource Estimate (Cont.)

- **Validation.** The block model was validated by trend plots comparing composited drill sample grades with interpolated block grades on regular sections, and by visual section-by-section comparison of block grades against drill-hole grades. All comparisons were considered acceptable.

Comparison with the Previous Mineral Resource Estimate

The grades reported in the updated estimate and in the 2 October 2024 Measured estimate are not directly comparable. The MzEq formula has been extended from eight minerals to eleven by the addition of garnet, muscovite and biotite, following the addition of iron, manganese, magnesium and aluminium to the assay suite and the stoichiometric calculation of those three minerals. Because biotite alone averages 12.0% and garnet 2.7%, the extended formula produces a materially higher MzEq value for the same material.

Consequentially, the lower cut-off grade has been reset from 700 ppm to 1,957 ppm MzEq. The Competent Person has determined that the two cut-offs are spatially equivalent on their respective MzEq bases and constrain the same geologically validated domain. The increase in tonnage is attributable to the Stage 3 drilling, which expanded the interpreted mineralised domain from 4.05 km² to 23.3 km². The Measured category is essentially unchanged in tonnage terms, moving from 71.8 Mt to 73.2 Mt; the growth is in the newly defined Indicated category.

Because Stage 3 drilling was undertaken within the area to which the Exploration Target relates, a substantial part of the previously reported Exploration Target has now been converted to Mineral Resources. The Company will restate the Exploration Target, on the revised MzEq basis and net of the updated Mineral Resource Estimate, in a subsequent announcement.

Exploration Target

The Mineral Resource occupies only part of the mineralised area identified at Sandy Mitchell, with resource drilling covering 23.3 km². The balance is covered by the Company's JORC (2012) Exploration Target, which lies largely to the north of the Mineral Resource (Figure 11).[6]

Table 3: *Sandy Mitchell JORC Code (2012) Exploration Target, as previously reported. A substantial part of this Exploration Target has been converted to Mineral Resources by the updated estimate, and the Exploration Target will be restated on the revised MzEq basis and net of that estimate.*

Exploration Target	Tonnage (Mt)	Grade (ppm MzEq)
Lower bound	1,316	1,286
Upper bound	1,580	1,903

Cautionary Statement

The potential quantity and grade of the Exploration Target is conceptual in nature. There has been insufficient exploration to estimate a Mineral Resource, and it is uncertain whether further exploration will result in the estimation of a Mineral Resource. The Exploration Target is not a Mineral Resource or Ore Reserve and is reported separately from, and in addition to, the Mineral Resource.

Basis of the Exploration Target

The Exploration Target is based on reconnaissance drill hole coverage across the prospective area of the tenement, including 32 reconnaissance air core and reverse circulation holes for 393 metres and a wide-spaced auger reconnaissance grid; the interpreted thickness and lateral extent of the flat-lying mineral sand sheet; and the grade population returned from reconnaissance assays. The reconnaissance holes were drilled at wide spacing to cover as much of the tenement as possible, with their distribution controlled by rig access along existing tracks and fence lines. The upper and lower tonnage and grade bounds reflect the range of sand thickness, extent and grade assumed. The auger data is considered to be of good quality for exploration purposes but below the standard required for Mineral Resource estimation.

Proposed exploration to test the Exploration Target

Stage 3 drilling, completed during the year, tested part of the Exploration Target area adjacent to the existing resource and has been incorporated in the updated Mineral Resource Estimate announced on 22 September 2026[12] Further systematic resource drilling on a grid of similar spacing is planned to progressively test the remaining Exploration Target area to the north within EPM 28013, subject to funding, pastoral access and wet-season conditions. The Company anticipates this work being staged over the next 12 to 24 months in conjunction with the Pre-Feasibility Study.

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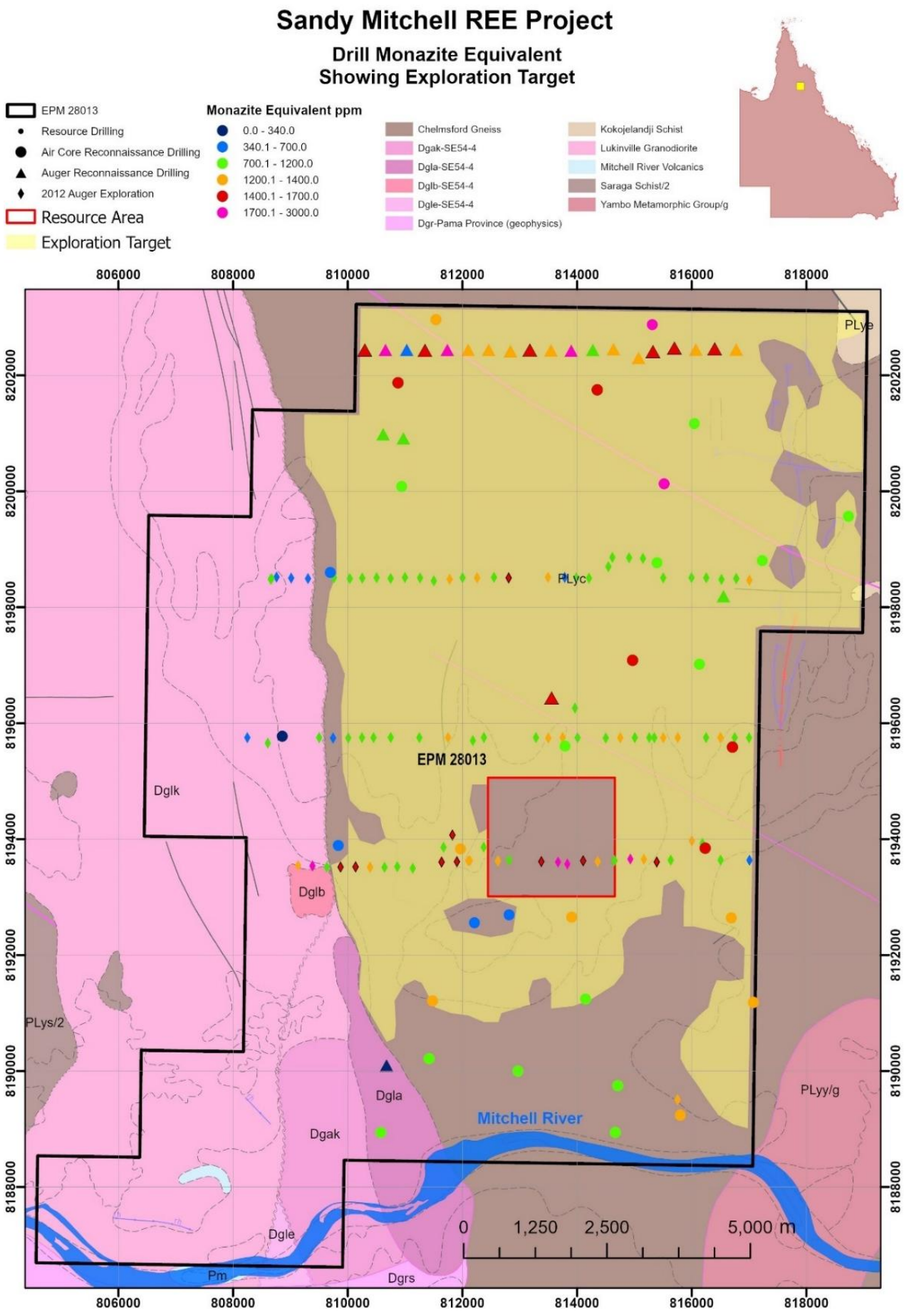


Figure 11: *Sandy Mitchell JORC Code (2012) Exploration Target (yellow) showing the Measured Mineral Resource area (red).*

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Why Sandy Mitchell is a High-Quality Rare Earth, Heavy Mineral and Industrial Mineral Project

Sandy Mitchell combines a rare earth deposit with a heavy mineral sand and an industrial mineral deposit in a single, shallow ore body. The Company considers that the following attributes distinguish the project:

Table 4: *Key attributes of the Sandy Mitchell Project.*

Attribute	Description
Granted development tenure	Mining Lease ML 100409 and Environmental Authority P-EA-100805234 are granted, and the project is held 100% by the Company, placing Sandy Mitchell well advanced along the development pathway.
High-confidence resource	Ninety-seven per cent of the updated Mineral Resource is classified in the Measured and Indicated categories, the two highest levels of geological confidence under the JORC Code.
Shallow, free-dig ore	Mineralisation surfaces or near-surfaces and extends to an average depth of approximately 11 metres over flat terrain. The unconsolidated sand requires no drilling, blasting or primary crushing, supporting simple open-pit mining with a negligible strip ratio.
Clay-poor sand host	The sand profile is largely free of clay. The rare earths occur as discrete mineral grains (monazite and xenotime) rather than adsorbed on clay, so no leaching circuit is required, unlike ionic adsorption clay deposits.
Simple physical processing	Testwork has produced commercial-grade monazite (up to 54.8% TREO) and leucoxene (73.5% TiO_2) products using gravity, magnetic and electrostatic separation, without chemicals, crushing or grinding.[1]
Consistent grade	The deposit is a residual heavy mineral sand shed in place from the underlying Chelmsford Gneiss. Rare earth, heavy mineral and industrial mineral values were returned in every metre sampled across three stages of drilling.[3]
Magnet and heavy rare earths	Approximately 26% of the TREO basket is magnet rare earth oxides (Nd, Pr, Dy, Tb), and xenotime contributes heavy rare earths including dysprosium, terbium and yttrium.
Diversified mineral basket	Rare earths are accompanied by zircon, titanium minerals, garnet and mica, giving potential exposure to several independent end-use markets rather than a single commodity.
Scale and growth	Resource drilling covers 23.3 km² of the interpreted mineralised area, and the large Exploration Target provides scope for further resource growth.
Strategic partners and location	The project is backed by the Queensland Investment Corporation Critical Minerals and Battery Technology Fund, has processing relationships with Currumbin Minerals and IHC Robbins, and sits in Queensland, a stable mining jurisdiction with an active critical minerals strategy.

Note

No Ore Reserve has been estimated for Sandy Mitchell and no decision to mine has been made. The attributes above describe the characteristics of the deposit and testwork completed to date and are not a statement of economic viability.

The Sandy Mitchell Mineral Basket

The Sandy Mitchell heavy mineral assemblage comprises the rare earth phosphates monazite and xenotime, zircon, and the titanium minerals rutile, leucoxene, altered ilmenite and ilmenite, together with garnet. Muscovite and biotite mica report to the lighter fraction and, with the heavy minerals, make up the Total Commercial Minerals ("TCM") reported from the Stage 3 drilling.[3] The table below outlines the principal established end uses of each mineral and its contained elements.

Table 5: *Sandy Mitchell mineral basket and principal end uses.*

Mineral	Contained elements / product	Principal end uses
Monazite	Light rare earths (Nd, Pr, La, Ce, Sm), thorium	NdFeB permanent magnets for EV motors, wind turbines, robotics, electronics and defence; petroleum refining catalysts; glass polishing; automotive catalytic converters; samarium-cobalt high-temperature magnets.
Xenotime	Heavy rare earths (Y, Dy, Tb, Er, Gd, Yb)	Dysprosium and terbium additives for high-temperature magnets; yttria-stabilised zirconia and thermal barrier coatings; LED phosphors and lasers; erbium-doped fibre amplifiers for telecommunications; MRI contrast agents.
Zircon	Zirconium, hafnium	Ceramic tile and sanitaryware opacifier; refractories and foundry sands; zirconia chemicals and engineered ceramics; nuclear-grade zirconium metal.
Rutile and leucoxene	High-grade TiO_2	Chloride-route titanium dioxide pigment; titanium sponge and metal for aerospace, medical implants and chemical plant; welding rod flux coatings.
Ilmenite and altered ilmenite	TiO_2, iron	Feedstock for titanium dioxide pigment (paints, plastics, paper, inks) and for synthetic rutile and upgraded ilmenite.
Garnet	Almandine garnet	Waterjet cutting and abrasive blasting (a low-silica alternative to silica sand), water filtration media, lapping and polishing.

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Mineral	Contained elements / product	Principal end uses
Muscovite mica	High-purity white mica	Electrical and thermal insulation, pearlescent pigments and cosmetics, paints and coatings, engineered plastics, construction products and drilling fluids.
Biotite mica	Black mica	Functional filler in construction materials, paints, plastics and rubber; drilling fluid additive; slow-release potassium and soil conditioner in agriculture.

Rare earth elements and their uses

Element (s)	Principal applications
Neodymium and praseodymium (NdPr)	Magnet rare earths — the key input to NdFeB permanent magnets for EV traction motors, direct-drive wind turbines, industrial automation, consumer electronics and defence systems.
Dysprosium and terbium	Heavy rare earths added to NdFeB magnets to preserve performance at high operating temperatures; recognised internationally as supply-critical.
Lanthanum and cerium	Fluid catalytic cracking catalysts, nickel-metal hydride batteries, optical glass, precision glass and wafer polishing, and automotive catalysts.
Samarium, gadolinium and europium	Samarium-cobalt magnets for aerospace and defence; phosphors; MRI contrast agents and neutron-absorbing materials.
Yttrium, erbium and ytterbium	Advanced ceramics and coatings, lasers, phosphors, and fibre-optic telecommunications amplifiers.
Thorium	Hosted in the monazite lattice and under international development as a fuel for molten salt reactors. Its presence requires handling, transport and storage to be managed under the applicable radiation safety regime.

Note

The information in this section is general market information on the end uses of these minerals and elements. It is not a statement that the Company will produce or sell any of these products, nor a forecast of production, recovery, product specification or revenue. No economic assessment of any potential co-product has been completed.

Commercial Monazite and Titanium Products

During the year IHC Robbins confirmed that commercially saleable monazite rare earth and leucoxene titanium products can be separated from a heavy minerals gravity concentrate derived from the Sandy Mitchell Measured Resource.[1] The work built on the Memorandum of Understanding with Currumbin Minerals, which sets out a framework for the supply and delivery of heavy mineral sands from Sandy Mitchell for processing at Currumbin's licensed treatment plant in South-East Queensland.

A composite bulk sample was created in December 2025 from the retained fractions of resource drilling within the Measured Resource and processed by Currumbin Minerals to yield a heavy minerals concentrate. In March 2026 the concentrate was sent to IHC Robbins to test the generation of commercial-grade product concentrates. Key outcomes were:

- The highest-grade stream graded 54.8% TREO, including 12.8% NdPr oxide and 1.49% Y_2O_3 — an NdPr proportion of 23.4% of the TREO basket.
- The coarse stream graded 52.6% TREO including 12.3% NdPr oxide, without additional liberation through grinding.
- The four-stream composite product graded 52.2% TREO, near the top of the 45% to 55% normal commercial grade range.
- A titanium concentrate of 73.5% TiO_2 leucoxene was produced with low zircon contamination of 0.6% ZrO_2, within the 70% to 90% TiO_2 range of comparable Australian, African, Indian and US leucoxene concentrates.
- A 65.8% TiO_2 middlings stream was also produced, with potential application in synthetic rutile and upgraded ilmenite markets.
- Cerium recovery, used by metallurgists as a proxy for rare earth recovery, was 65.43% across the four product streams.

The fine monazite concentrate was produced using dry reverse magnetic separation and triboelectrostatic separation. These dry processes provide benefits for water use, reagent consumption and tailings management compared with wet gravity separation and flotation, and may also be applicable to the ultra-fine fraction of Sandy Mitchell ore.

Monazite Cracking Processing Trial

In February 2026 Ark entered into a Memorandum of Understanding with a processing technology provider to undertake a processing trial to crack Sandy Mitchell monazite ore and recover thorium and other rare earth elements using a proven, low-cost cracking process.[11] The trial commenced in February 2026, targeting recovery of thorium, neodymium and praseodymium through an integrated Phase 1 chemical analysis and separation chemistry proving campaign.

Subject to successful completion of the test programs, the parties intend to jointly progress the development of a scaled pilot plant program to support downstream process validation and facilitate engagement with potential end-users and offtake partners.

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Gold Intercepted in Paleochannel Drilling

Gold was intersected in drilling targeting a topographic-high paleochannel conglomerate mesa south of the Sandy Mitchell Measured Resource.[4] The drilling was undertaken to determine whether gold panned in streams in the south of the tenement was shedding from the elevated paleochannel mesa. While the gold grades are not high, they demonstrate potential to add value to the Company's heavy mineral concentrates. Notable results included:

- 1 m at 0.07 g/t Au from 1 m, returning 0.46 g/t Au in concentrate (concentration factor 6.77).
- 1 m at 0.27 g/t Au from 5 m, returning 4.50 g/t Au in concentrate (concentration factor 16.66).
- 1 m at 0.16 g/t Au from 7 m, returning 3.66 g/t Au in concentrate (concentration factor 22.63).

Initial assay results were received from 38 of the 166 one-metre intercepts across eight drill holes, with assaying of the remaining samples progressing. Ark is investigating recovery of gold as a by-product using the same simple gravity processes applied to recover the monazite-hosted rare earth elements and heavy minerals.

Jackson Fluorite Project

Ark was granted Exploration Permit for Minerals EPM 29189, covering the Jackson Fluorite Project near Chillagoe in North Queensland.[7] The permit was granted for a five-year term expiring on 25 June 2031 and covers eight sub-blocks. Environmental Authority P-EA-101118064 has been issued for the permit, which excludes the Chillagoe Mungana Caves National Park and is subject to Native Title Protection Conditions.

The project hosts a historic fluorite open cut mine and exposed fluorite veins.

Fluorite, known commercially as fluorspar, is listed as a critical mineral by Australia, the United States Geological Survey, the European Union and China, and as a strategic mineral by the United Kingdom. It is the primary ore for elemental fluorine and is essential to producing hydrofluoric acid, with growing demand across clean energy applications including solar panels, EV batteries, wind turbines and semiconductor manufacturing.

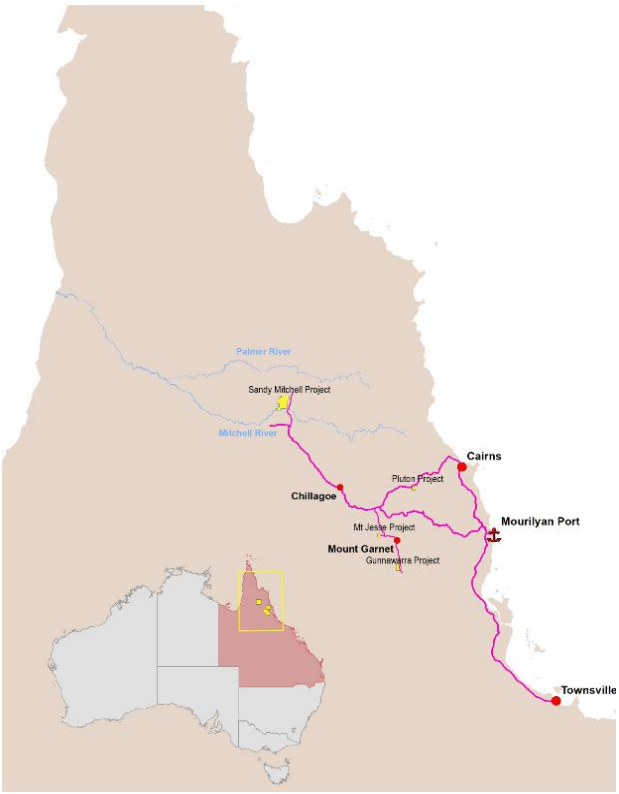


Figure 12: *Locations of the Ark Mines tenements in North Queensland.*



Figure 13: *Jackson Fluorite Mine showing surface cut and underground undercut.*



Figure 14: *An exposed fluorite vein along strike.*

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Gunnawarra

The Gunnawarra project (EPM 26560) is located approximately 40 km south of Mount Garnet in far-north Queensland, with access to grid power, water and port facilities. The project surrounds the Bell Creek resource, a component of the Sconi cobalt project.

Gunnawarra holds a maiden JORC (2012) Inferred Mineral Resource of 1.341 million tonnes at 0.53% nickel, 602,000 tonnes at 0.066% cobalt and 191,500 tonnes at 0.054% copper, at a 0.4% Ni cut-off, completed by Hawker Geological Consultants.[5]

No field work was undertaken at Gunnawarra during the year. As shown in the cross sections below, the nickel-cobalt mineralisation is laterally continuous, which would support a low strip ratio and simple mining.

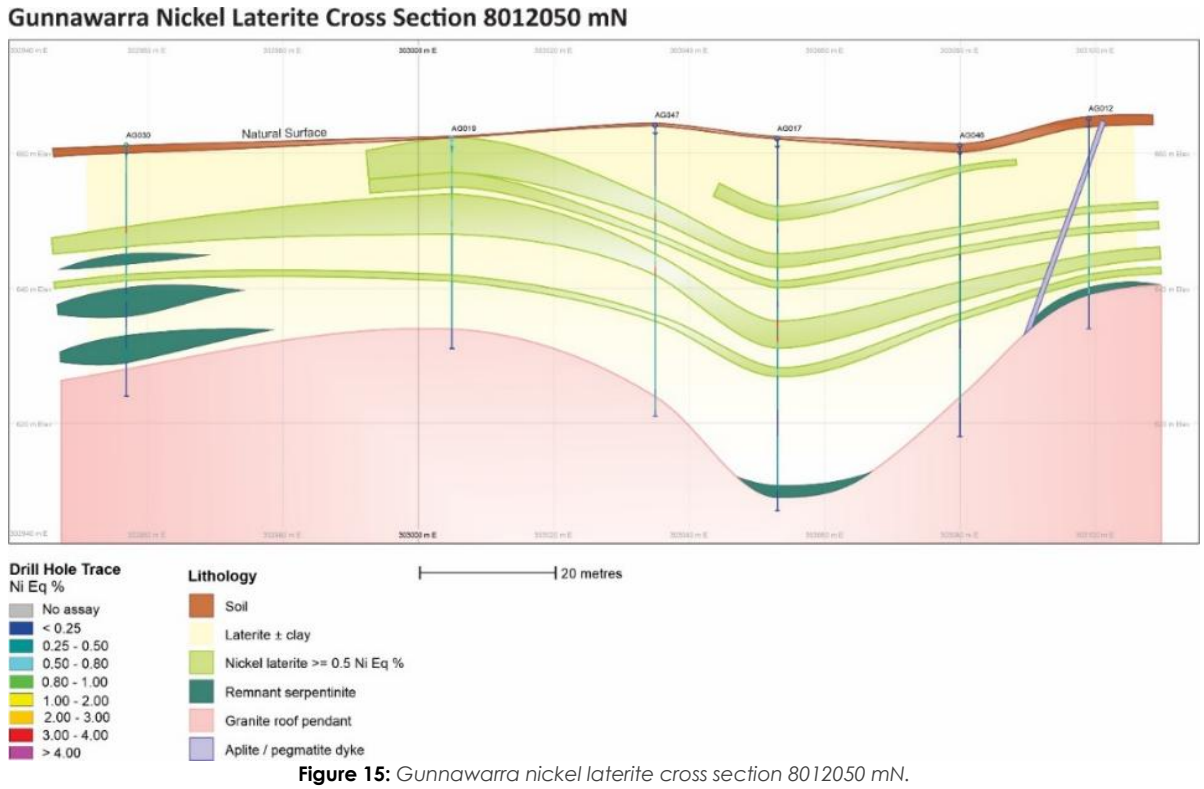


Figure 15: *Gunnawarra nickel laterite cross section 8012050 mN.*

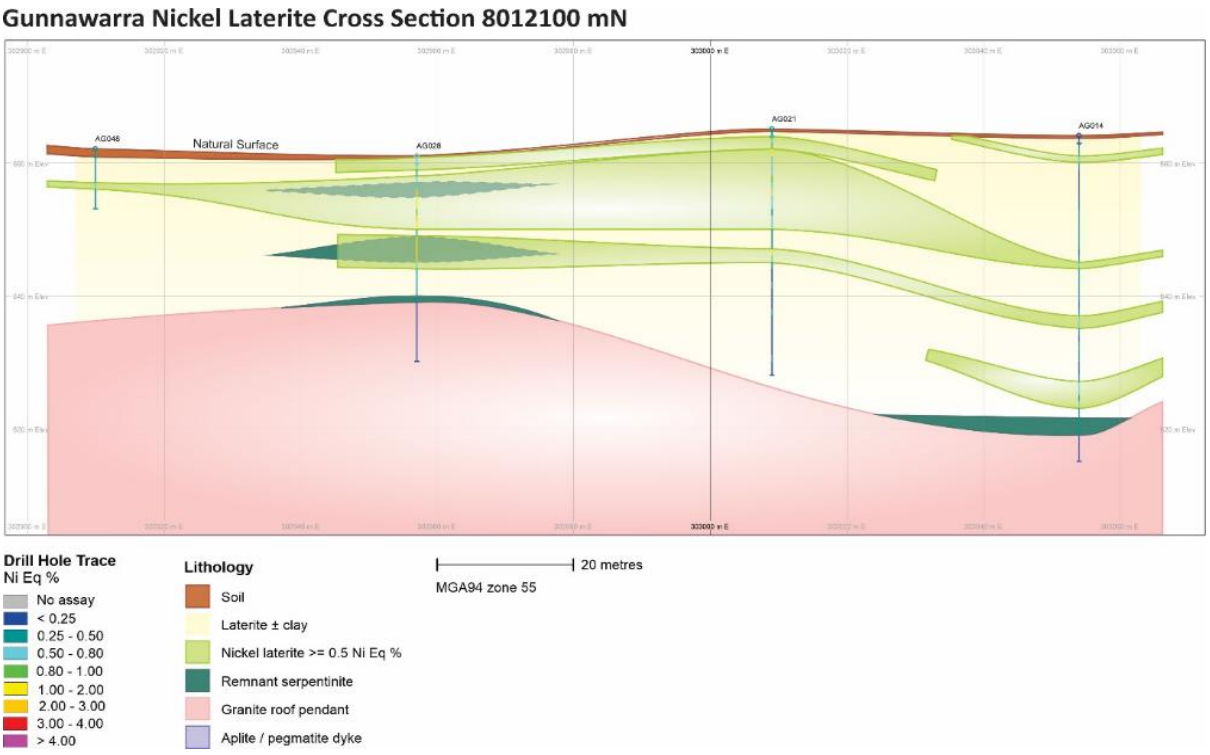


Figure 16: *Gunnawarra nickel laterite cross section 8012100 mN.*

Mt Jesse and Mt Pluton

No work was undertaken at the Mt Jesse project (EPM 26464) during the year. Minor exploration work was undertaken at the Mt Pluton project (EPM 26883); preliminary rock chip sampling in the prior year returned encouraging gold and silver grades.

Corporate

Queensland Investment Corporation Investment

In August 2025 Ark secured a $4.5 million investment from the QIC Critical Minerals and Battery Technology Fund, managed by the Queensland Investment Corporation.[10] The investment comprised $4.0 million in upfront royalty-based project funding, structured as a 2% royalty over future Sandy Mitchell production, and a $500,000 equity placement of 2,994,012 shares at $0.167 per share.

The investment provided largely non-dilutive funding to accelerate near-term development at Sandy Mitchell and aligned Ark with the Queensland Government's Critical Minerals Strategy.

Capital Raising

During the year the Company issued 2,878,765 fully paid ordinary shares at $0.20 per share, for a total of $575,753, to former Director Mr Ian Mitchell on conversion of a convertible loan. The Company inadvertently issued 128,765 fully paid ordinary shares to Mr Mitchell in excess of the number approved by shareholders, and issued 2,750,000 fully paid ordinary shares later than the one-month period following shareholder approval required under ASX Listing Rule 10.13.5. The Company has convened a General Meeting of shareholders for 6 October 2026 to seek shareholder approval for the prior issue of the full 2,878,765 shares to Mr Mitchell. Until that time, the shares issued to Mr Mitchell are being held in a holding lock. In the event that shareholders do not approve the issue, the loans are repayable in cash.

The Company further issued 304,763 fully paid ordinary shares at $0.40 per share, for a total of $121,905, on the exercise of options.

Board and Management

Mr Ian Mitchell retired as a Director on 30 June 2026 and as a Secretary on 6 August 2026, having joined the Board in December 2010. Mr Mitchell was one of the Company's two longest-serving Directors. Following Mr Mitchell's retirement, CFO and Company Secretary Mr Ian White assumed a greater role in the Company's secretarial affairs.

Mr Thomas Patterson, an experienced board advisor and director with a strong finance and accounting background, was appointed as a Director on 9 April 2026.

Mr Daemon de Chaeney, an experienced senior geologist, was appointed Technical Services Manager and Geologist for the Sandy Mitchell Project in June 2026, with responsibility for delivering the updated Scoping Study, the Pre-Feasibility Study and site works.

Safety and Environment

Measure	FY2026
Reportable incidents	Nil
Medical treatments	Nil
Lost time injuries	Nil
Environmental incidents	Nil
Landholder issues	Nil

Tenement Details

A schedule of tenements is shown on page 52 of this Annual Report. The annual Mineral Resource Statement is shown on pages 53 to 54 of this Annual Report.



Roger A Jackson
Executive Chairman
Sydney, 29 September 2026

Footnotes

Footnotes included in this Review of Operations refer to information provided at page 17.

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Notes and ASX References

Monazite Equivalent Calculation

2 October 2024 Mineral Resource (71.8 Mt @ 1,730 ppm MzEq; the Mineral Resource as at 30 June 2025 and as at 30 June 2026): MzEq = 1.000 x monazite + 1.000 x xenotime + 0.361 x zircon + 0.281 x rutile + 0.165 x hi Ti leucoxene + 0.126 x lo Ti leucoxene + 0.072 x altered ilmenite + 0.065 x ilmenite. The proportions of valuable elements in recoverable economic heavy minerals are ascertained by QEM scan deportment percentages applied to all elements.[2]

(Refer to AHK ASX announcement 2 October 2024 - detailed in Appendix B Table 1 Section 2)

Updated Mineral Resource Estimate (379.4 Mt @ 5,430 ppm MzEq; the Mineral resource as at 22 September 2026): MzEq (ppm) = 1.000 x monazite (ppm) + 1.000 x xenotime (ppm) + 0.361 x zircon (ppm) + 0.281 x rutile (ppm) + 0.165 x hi Ti leucoxene (ppm) + 0.126 x lo Ti leucoxene (ppm) + 0.072 x altered ilmenite (ppm) + 0.065 x ilmenite (ppm) + (0.058 x garnet (%) + 0.026 x muscovite (%) + 0.015 x biotite (%)) x 10,000. Garnet, muscovite and biotite are calculated stoichiometrically from iron, manganese, magnesium and aluminium assays. The proportions of valuable elements in recoverable economic heavy minerals are ascertained by QEM scan deportment percentages applied to all elements

(Refer to AHK ASX announcement 22 September 2026 – Sandy Mitchell Project Mineral Resource Estimate Increases 428%, detailed in Table 4 and JORC Code (2012) Table 1)[12]

The company has a reasonable belief that all metals included in a calculated equivalent grade have a reasonable chance of being recovered and sold, a necessary requirement under Clause 50 of the JORC Code.

ASX Announcement References

Information in this review has been drawn from previous ASX announcements. Where referencing to previous ASX announcements is required by ASX listing rules, an end note reference is included in the relevant heading. These references refer to the announcements listed below.

1. *ASX Announcement 10 June 2026 - Commercial Monazite and Titanium Products Generated by Concentrate Test Work*
2. *ASX announcement 2 October 2024 - Sandy Mitchell Measured Resource of 71.8Mt @1,730 ppm MzEq*
3. *ASX Announcement 20 August 2026 - Sandy Mitchell Stage 3 Resource Expansion Drilling Results*
4. *ASX Announcement 6 May 2026 - Gold Intercepts in Sandy Mitchell Paleochannel Drilling*
5. *ASX Announcement 23 December 2022 - Revised Gunnawarra Maiden JORC Resource*
6. *ASX Announcement 6 November 2024 - Sandy Mitchell Project Exploration Update*
7. *ASX Announcement 1 July 2026 - Grant of EPM 29189, Jackson Fluorite Project*
8. *ASX Announcement 17 March 2026 - Grant of Mining Lease ML 100409, Sandy Mitchell*
9. *ASX Announcement 29 October 2025 - Grant of Environmental Authority P-EA-100805234 for ML 100409*
10. *ASX Announcement 25 August 2025 - $4.5 Million Investment from The QIC Critical Minerals and Battery Technology Fund*
11. *ASX Announcement 10 February 2026 - Memorandum of Understanding for Sandy Mitchell Monazite Cracking Processing Trial*
12. *ASX Announcement 22 September 2026 - Sandy Mitchell Project Mineral Resource Estimate Increases 428%*

The Company confirms that all material assumptions and technical parameters underpinning the estimates in the market announcements referred to in this Review of Operations continue to apply and have not materially changed.

The Company confirms that the form and context in which the Competent Person's findings were presented have not been materially modified from the original market announcements.

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Your Directors present their report together with the financial statements of Ark Mines Ltd (the "Company" or "Ark") and its wholly owned subsidiaries (together, the "Group") for the financial year ended 30 June 2026.

Review of Operations

During the financial year, the Company focused on the ongoing development of its 147 km2 EPM 28013 Sandy Mitchell ("Sandy Mitchell" or the "Project") advanced Rare Earths Project in North Queensland.

On 25 August 2025 the Company announced that the Queensland government owned Critical Minerals and Battery Technology Fund ("QCMBTF") would invest $4,500,000 in Ark to advance development at Sandy Mitchell. The QCMBTF is managed by the Queensland investment Corporation.

The QCMBTF invested in two parts:

- $4,000,000 cash in exchange for 2% Royalty on future product sales from Sandy Mitchell; and a
- $500,000 cash equity investment, which was approved by shareholders on 10 October 2025.

During the year, the Company continued its planned 2,500 m drilling program at Sandy Mitchell comprising 194 vertical holes, being Stage 3 of a comprehensive resource definition drilling program to build on the previous two stages of resource drilling. The program was designed to significantly increase the mineral resource at Sandy Mitchell from the then Mineral Resource Estimate of 71.8 Mt @ 1,732.7 ppm Monazite Equivalent[1] ("MzEq"), calculated using a 700 ppm MzEq lower cut-off grade. (refer ASX announcements on 2 July 2024 and 2 October 2024) The program was designed to target an eventual resource increase of approximately 260 Mt, based on the thickness of the existing resource and mineralisation in the reconnaissance drilling used to inform the 1,316 Mt to 1,580 Mt JORC Exploration Target[3]. (refer ASX announcement 6 November 2024)

The Stage 3 program, eventually comprising 218 holes for 2,330.5 m, was completed in November 2025 with results to be incorporated into a forthcoming Pre-Feasibility Study ("PFS").

All samples from the Stage 3 program were dispatched for assay, with results announced to the market on 20 August 2026.

On 29 October 2025, the Company announced that it has been granted Environmental Authority for mining activity at Sandy Mitchell. The regulatory process to lodge the Permit application is largely complete, with only a security self-assessment now required to complete the Permit application.

In January 2026, a processing plant trial was commenced using samples taken from the Stage 3 program at Currumbin Mineral's ("Currumbin"), wholly owned and operated licensed treatment facility in South-East Queensland.

Ark and Currumbin have an existing Memorandum of Understanding which established a framework for the supply and delivery of Heavy Minerals Sands from the Sandy Mitchell Project for processing at Currumbin's licenced treatment plant.

The processing plant trial is being undertaken by Ark in collaboration with Currumbin, in parallel with the Sandy Mitchell PFS, Study currently being progressed by IHC Robbins.

Currumbin will undertake a full commercial scale trial to assess final product specifications. Monazite rare earth concentrate produced during the trial will be transported to a downstream processing facility for cracking and splitting of rare earth concentrates.

All commercial-grade material, including titanium minerals, zircon and garnet, will be assessed as part of the trial.

In December 2025 the Company lodged an R&D claim for certain work performed at Sandy Mitchell. The amount of $321,968 was received on 7 May 2026 and is included in the Statement of Profit or Loss and Other Comprehensive Income.

On 10 February 2026, the Company announced that it had signed a Memorandum of Understanding ("MOU") with a processing technology provider to partner on a processing trial of monazite ore from the Sandy Mitchell Project to recover thorium and Rare Earth Elements ("REEs"). The MOU establishes a framework for the parties to collaborate on the cracking of monazite ore using a proven, low-cost process to recover both thorium and REEs. Under the agreement, the parties will work together from initial monazite cracking through to the production of final rare earth oxides and refined thorium.

On 17 March 2026, the Company announced that a Mining Licence had been granted for EPM 28013, covering ~406 hectares at the Sandy Mitchell Rare Earths Project. The licence provides Ark with development tenure over the resource area and enables the Company to advance project development activities including:

- detailed mine planning and engineering studies;
- ongoing metallurgical test work and processing optimisation;
- infrastructure planning and development studies; and
- engagement with strategic partners and potential offtake customers.

On 9 April 2026, the Company announced that it had appointed Mr Thomas Patterson as a Director of the Company.

On 6 May 2026, the Company announced that gold has been intersected in drilling undertaken in late 2025 at EPM 28013, the Company's Sandy Mitchell Project. The gold grades were not high but demonstrate potential to add value to the Heavy Mineral concentrates if the gold carries within the Rare Earth and heavy mineralisation.

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Notable results from Hole 1 of this drill program included:

- 1m at 0.07 g/t Au from 1m, returning 0.46 g/t Au in concentrate (concentration factor 6.77).
- 1m at 0.27 g/t Au from 5m, returning 4.5 g/t Au in concentrate (concentration factor 16.66).
- 1m at 0.16 g/t Au from 7m, returning 3.66 g/t Au in concentrate (concentration factor 22.63).

Initial assay results have been received from 38 of the 166 one-metre intercepts across eight drill holes, with the Company progressing assaying of the remaining samples using a "bulk sampling" process.

On 1 July 2026, the Company announced the retirement of Mr Ian Mitchell as a Director of the Company.

On 1 July 2026, the Company announced the granting of Exploration Permit Mineral EPM 29189 for the Jackson Fluorite Project, located near Chillagoe in North Queensland. The EPM has a five-year term expiring 25 June 2031, covering 8 sub-blocks. The Jackson Fluorite Project has a history of mining activity, with mineralisation traced along strike for approximately 1 km, including numerous historical pits, shafts and open cut workings. Fluorite (fluorspar) is a critical mineral with growing strategic importance across steelmaking, aluminium, chemicals, electronics and fluorochemical supply chains.

The project is strategically located near Ark's Sandy Mitchell Project. Ark will progress planning and exploration activities in accordance with the approved work program and statutory permit conditions. Environmental authority P-EA-101118064 has been issued in conjunction with the permit grant.

On 30 July 2026, the Company announced that it had inadvertently breached ASX listing Rule 10.11 by issuing shares on conversion of a converting loan to former Director; Mr Ian Mitchell. The Company has convened a General Meeting of shareholders scheduled for 6 October 2026 to for shareholders to re-approve this issue. If shareholders do not re-approve this issue, the loan will be required to be repaid in cash, Refer Note13 for further details.

On 6 August 2026, the Company announced the retirement of Mr Ian Mitchell as Company Secretary.

On 20 August 2026, the Company announced the completion of its Stage 3 resource expansion drill programme and assay reconciliation at the Sandy Mitchell Project with 218 vertical holes drilled for 2,330.5 metres across 18 drill lines. Heavy mineral sands were logged from surface to the metamorphic bedrock in all 218 holes, with an average sand depth of approximately 10.0 metres. Assays returned rare earth element, heavy mineral and industrial mineral values in every metre sampled, consistent with the values returned from the Stage 1 and Stage 2 drilling that informed the existing Measured Mineral Resource Estimate of 71.8 Mt at 1,730 ppm Monazite Equivalent ("MzEq") at a 700 ppm MzEq lower cut-off.

Total Heavy Minerals ("THM") averaged 3.5% across Stage 3, and 3.03% across all stages combined. THM include monazite, xenotime, zircon, rutile, leucoxene, altered ilmenite, ilmenite and garnet. Total Commercial Minerals ("TCM") averaged 16.9% across Stage 3, and 15.5% across all stages combined. TCM includes monazite, xenotime, zircon, rutile, leucoxene, altered ilmenite, ilmenite, garnet, muscovite and biotite. Total monazite plus xenotime averaged 1,413.5 parts per million ("ppm") across Stage 3, and 1,379.8 ppm across all stages combine. Total Rare Earth Oxide plus yttrium averaged 361.5 ppm, with a maximum of 1,433.6 ppm across Stage 3, and averages 411.7 ppm with a maximum of 19,297.9 ppm across all stages combined. Zircon averaged 658.7 ppm with a maximum of 4,534.5 ppm across Stage 3, and averages 671.42 ppm with a maximum of 10,825.9 ppm across all stages combined. Stage 3 drilling extends beyond the boundary of Mining Lease ML 100409 into EPM 28013, both held 100% by the Company, covering 1924.4 ha for Stage 3 and 2,328.5 ha for all stages combined.

On 22 September 2026 the Company announced an updated JORC (2012) Mineral Resource Estimate for Sandy Mitchell of 379.4 Mt at 5,430 ppm Monazite Equivalent ("MzEq"), reported at a 1,957 ppm MzEq lower cut-off grade.[1]

The estimate comprises a Measured Resource of 73.2 Mt at 4,990 ppm MzEq, an Indicated Resource of 296.4 Mt at 5,570 ppm MzEq and an Inferred Resource of 9.8 Mt at 4,630 ppm MzEq. Measured and Indicated material represents 97% of the estimate by tonnage. The estimate supersedes the Measured Mineral Resource of 71.8 Mt at 1,732.7 ppm MzEq reported on 2 October 2024, which was the Mineral Resource in place at 30 June 2025, and is the updated is estimate shown in the annual Mineral Resource Statement on pages 53 to 54. The deposit is a shallow, sand-hosted rare earth and heavy minerals system that is simple to mine and amenable to low-cost gravity beneficiation. Ark Mines is targeting production at Sandy Mitchell in late CY27.

Minor exploration work was undertaken at the Mt Pluton project during the year. No work was undertaken Mt Jesse or Gunnawarra.

The profit after income tax for the full year ended 30 June 2026 was: $893,729 (2025: loss $1,185,103).

Notes and ASX References

1. *Refer to page 17 for Monazite equivalent calculations.*
2. *Underlined dates refer to Company ASX releases made on that day. The Company confirms that it is not aware of any new information or data that materially affects the information included in this Directors' Report and referenced to previous ASX announcements and that all material assumptions and technical parameters underpinning the estimates in those announcements continue to apply and have not materially changed. The Company confirms that the form and context in which the Competent Person's findings were presented have not been materially modified from the original market announcements.*
3. *The Exploration Target is conceptual in nature as there has been insufficient exploration to define a Mineral Resource. It is uncertain if further exploration will result in the determination of a Mineral Resource under the "Australasian Code for Reporting of Exploration Results, Mineral Resources and Ore Reserves, the JORC Code" (JORC 2012). The Exploration Target is not being reported as part of any Mineral Resource or Ore Reserve.*

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DIRECTORS' REPORT

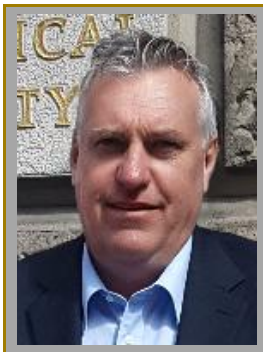
For the year ended 30 June 2026

Principal Activity

The principal activity of the Company for the financial year was the exploration and evaluation of mineral exploration tenements and the development of its Sandy Mitchell Project.

Directors

The names of the Directors, who held office from 1 July 2025 to date of this report, unless otherwise stated, are:



Roger A Jackson – Executive Chairman

BSc (Geol), Dip Ed, Grad Dip Fin Man, FAIMM, AICD, FAIG, FGS

Mr Jackson been actively involved in the mining industry for 36 years as a mine operator, in mine services and in mineral exploration. He has been a founding director of a number of private and public mining and mine service companies.

Mr Jackson has maintained a geological and mining consulting business for the past 22 years whilst holding several executive roles. He has a strong knowledge of gold exploration and mining and a sound knowledge of base metal mining and exploration. Mr Jackson has developed several mining and ore processing operations in Australia and abroad and has had significant experience in marketing gold and base metal concentrate across the globe.

- Appointed: 21 October 2010
- Committee memberships: Audit & Risk
- Other listed Board memberships: QX Resources Ltd. Vertex Minerals Ltd.
- Previous listed Board memberships: Nil for the last three years



Benjamin P Emery – Managing Director

Mr Emery has been involved in the mining sector for over a decade locating, developing and monetising varied and diversified mining projects and has successfully developed several green-field exploration projects into financially successful producing mines. He is well connected in the mining industry both locally and overseas.

Mr Emery is currently CEO for a private iron ore producer and Chairman of Franklin Exchange Pty. Ltd., a dynamic and growing commodity trading house operating across various global markets whilst assisting international companies develop new strategic partners for growth. Mr Emery holds majority interests in a number and range of exploration and mining assets at various stages of development.

- Appointed: 22 December 2021
- Committee memberships: Nil
- Other listed Board memberships: Nil
- Previous listed Board membership: Nil for the last three years



Thomas W Patterson – Non-Executive Independent Director

BComm, MAppTax, CA

Mr Patterson is an experienced Board advisor with a diverse background in accounting, finance, tax and corporate development across a range of sectors. He advises both private and public corporations and high net worth family groups, including on strategy, transactions and capital raisings. Mr Patterson is a Chartered Accountant and was appointed Chairman of the Audit and Risk Committee on 9 September 2026.

- Appointed: 9 April 2026
- Committee memberships: Audit & Risk (Chairman)
- Other listed Board memberships: Nil
- Previous listed Board memberships: Nil for the last three years

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Ian B Mitchell – Non-Executive Independent Director & Company Secretary

BA, Dip Law

Mr Mitchell is a practising solicitor of over 48 years standing. He is the He has over 38 years' experience as a Director and Secretary of listed mining, exploration and industrial companies. His legal expertise is in commercial law, contract law and ASIC and ASX compliance. Mr Mitchell was appointed Company Secretary on 16 November 2011 and retired from the Board on 30 June 2026. Mr Mitchell retired as Company Secretary on 6 August 2026.

- Appointed: 29 December 2010
- Retired: 30 June 2026
- Committee memberships: Audit & Risk (Chairman)
- Other listed Board memberships: Nil
- Previous listed Board memberships: Nil for the last three years



Ian K White – Company Secretary

BBus, MBA, Grad. Dip. CSP, FCPA

Mr White was appointed as an additional Company Secretary on 9 August 2023 and the Company's Chief Financial Officer on 28 April 2023. He is an experienced business professional who holds a Bachelor of Business Degree, a Graduate Diploma in Company Secretarial Practice and an MBA specialising in marketing. His experience has been gained over 49 years including periods as Chairman, Director, CFO and Company Secretary for a number of ASX listed companies. Over the last 20 years, Mr White has focused on the resources and technology sectors.

Remuneration Report (Audited)

This report details the nature and amount of remuneration for each Director of the Company and its Chief Financial Officer.

Directors' Interests

The Directors' relevant interests in shares and options as at 30 June 2026 are shown in the following tables. There are no options currently issued to any Directors.

Director	Holding type	Shares			
		30-Jun-25	Acquired	Disposed	30-Jun-26
Roger A Jackson	Direct	35,313	-	-	35,313
	Indirect	1,042,516	-	-	1,042,516
	Total	**1,077,829**	**-**	**-**	**1,077,829**
Benjamin P Emery	Direct	-	-	-	-
	Indirect	8,250,000	-	-	8,250,000
	Total	**8,250,000**	**-**	**-**	**8,250,000**
Thomas W Patterson	Direct	-	-	-	-
(Appointed - 9 April 2026)	Indirect	-	53,000	-	53,000
	Total	**-**	**53,000**	**-**	**53,000**
Ian B Mitchell	Direct	1,004,931	2,878,765 [1]	-	3,883,696
(Retired - 30 June 2026)	Indirect	126,500	-	-	126,500
	Total	**1,131,431**	**2,878,765**	**-**	**4,010,196**

1. *These shares are currently being held in a holding lock. See Note 13 in the Financial Statements for further details.*

Remuneration Policy

The Board's remuneration policy determines the nature and amount of remuneration for Board members and senior executives of the Group. The policy, setting the terms and conditions for the Executive Directors and other senior executives, was developed and approved by the Board. All executives receive remuneration based on factors such as length of service and experience. The Board reviews executive packages annually by reference to the Group's performance, executive performance and comparable information from industry sectors and other listed companies in similar industries. The objective of this policy is to secure and retain the services of suitable individuals capable of contributing to the Group's strategic objectives. The Board's policy is to remunerate executives and Non-Executive Directors at market rates for comparable companies for time, commitment and responsibilities.

The Group currently has only one employee who is male however the Group has engaged a number of contract field hands and a contract bookkeeper who are female. When the Group reaches an appropriate size, it will endeavour to employ suitably qualified women to fill at least one third of its employment positions.

The Board undertakes performance review of itself and its senior executives and reviews payments to executives and Directors annually. This was last undertaken in September 2026. Remuneration levels are based on market practice, duties and accountability. Directors' remuneration is currently being paid in accordance with amounts determined by the Board on 18 October 2024. These amounts are $48,000 per annum for Directors' fees, plus an additional $6,000 for Mr Mitchell for his services as Company Secretary. (2025: $45,000) and $1,850 per day for consulting fees (2025: $1,850). There were no bonuses paid or proposed to be paid for the year ended 30 June 2026 (2025: Nil).

Below is a table summarising key performance and shareholder wealth indicators for the Company For the year ended 30 June 2026 and the previous 4 financial years.

Period	Profit (Loss) after Tax	EPS (cents per share)	Share Price
Year ending 30 June 2026	$893,729	1.28	$0.250
Year ending 30 June 2025	($1,185,103)	(2.08)	$0.165
Year ending 30 June 2024	($1,203,997)	(2.20)	$0.150
Year ending 30 June 2023	($994,036)	(2.23)	$0.310
Year ending 30 June 2022	($2,439,496)	(9.83)	$0.175

Directors and Key Management Remuneration

Details of the remuneration of the Directors and other Key Management Personnel (defined as those who have the authority and responsibility for planning, directing and controlling the major activities of the Company) are set out in the following table:

	Short - term			
	Base fee	Consulting	Superannuation	**Total**
2026	$	$	$	$
Executive Directors				
Roger A Jackson	48,000	177,970	-	225,970
Benjamin P Emery	48,000	305,250	-	353,250
Non-Executive Directors				
Thomas W Patterson *(Appointed - 9 April 2026)*	10,355	61,050		71,405
Ian B Mitchell *(Retired - 30 June 2026)*	52,500	-	-	52,500
Total directors	**158,855**	**544,270**	**-**	**703,125**
Key Management Personnel				
Ian K White	-	120,598	-	120,598
Total Remuneration	**158,855**	**664,868**	**-**	**823,723**
2025				
Executive Directors				
Roger A Jackson	45,000	170,981	-	215,981
Benjamin P Emery	45,000	276,300	-	321,300
Non-Executive Directors				
Ian B Mitchell	45,000	-	-	45,000
Total directors	**135,000**	**447,281**	**-**	**582,281**
Key Management Personnel				
Ian K White	-	75,653	-	75,653
Total Remuneration	**135,000**	**522,934**	**-**	**657,934**

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Contracts of Senior Executives

Both Mr Roger Jackson and Mr Benjamin Emery are engaged as Executive Directors under an Executive Service Agreement ("Agreement"), executed with their respective consulting companies. Under the Agreement, each is paid a director's fee of $48,000 per annum. No superannuation is payable under these Agreements. In addition, under the Agreement, each of Mr Jackson and Mr Emery must provide a minimum of 8 days per month executive service which is payable at $1,850 per day in line with market rates.

The Agreements with Mr Jackson and Mr Emery have no fixed term and the Company may terminate the Agreements on giving three months' notice, or payment in lieu. No benefits are payable on termination.

Mr White is engaged under a Consulting Agreement executed with Mr White's consulting company. Pursuant to this Consulting Agreement, Mr White is paid $1,700 per day plus GST. No superannuation is payable under this Consulting Agreement.

Mr White's Consulting Agreement has no fixed term and the Company may terminate the Consulting Agreement on giving three months' notice, or payment in lieu. No benefits are payable on termination.

No options were issued to Directors or Key Management Personnel during the financial year.

This concludes the Remuneration Report, which has been audited.

Directors' Meetings

The number of Directors' meetings and meetings of committees of Directors of Ark Mines Ltd (including by way of circular resolution) held during the year ended 30 June 2026 and the numbers of meetings attended by each Director are as follows:

	Board		Audit & Risk Committee	
Director	Eligible to attend	Attended	Eligible to attend	Attended
Roger A Jackson	7	7	2	2
Benjamin P Emery	7	7	2	2
Thomas W Patterson *(Appointed - 9 April 2026)*	1	1	-	-
Ian B Mitchell *(Retired - 30 June 2026)*	6	6	2	2

As well as formal Directors' meetings, Executive and Non-Executive Directors are in frequent communication by telephone, email and other electronic means.

Environmental Regulations

The Group is subject to significant environmental regulations under legislation of the Commonwealth of Australia. The Group aims to ensure that it complies with the identified regulatory requirements in each jurisdiction in which it operates. There have been no known material breaches of the environmental obligations of the Group's contracts or licences.

Dividends

No dividends have been declared in respect of the financial year ended 30 June 2026 (2025: Nil).

Significant Changes in State of Affairs

There have been no significant changes to the state of affairs of the Company.

Events Subsequent to Reporting Date

Events subsequent to reporting date are included in Note 27 to the financial statements and within the Directors' Report under Review of Operations.

The Directors are not aware of any matter or circumstance not otherwise dealt with in this Annual Report or in the financial statements that has significantly or may significantly affect the operations of the Group, the results of those operations or the state of affairs of the Group in subsequent financial years.

Likely Developments

It is likely that the Group will continue with the exploration activities on its mining tenements and proceed to develop its Sandy Mitchell project into a heavy mineral sands mine.

Please see Note 27 – Subsequent Events for further details.

Indemnifying Officers and Auditor

The Company has indemnified Directors and staff to the extent possible under the Corporations Law against any liabilities incurred by the person as an officer of the Company. The Company has also provided an indemnity to its contracted accounting staff for liabilities incurred in acting in this capacity. The Company has not indemnified the auditor.

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Non-Audit Services

The Auditor provided no other services during the financial year ended 30 June 2026.

Officers of the Company who are former Audit Partners of Moore Australia Audit (WA)

There are no officers of the Company who are former Partners of Moore Australia Audit (WA).

Auditor Independence Declaration

The Auditor's independence declaration for the year ended 30 June 2026 has been received and a copy is reproduced on page 25. Moore Australia Audit (WA) continues office in accordance with section 327 of the Corporations Act 2001.

Proceedings on Behalf of the Company

No person has applied to the Court for leave to bring proceedings on behalf of the Company or intervene in any proceedings to which the Company is a party for the purpose of taking responsibility on behalf of the Company for all or any of those proceedings. The Company was not a party to any such proceedings during the year.

Corporate Governance

The Company's Corporate Governance Statement can be found on its web-site at www.arkmines.com/governance/.

Signed in accordance with a resolution of the Board of Directors.



Roger A Jackson
Executive Chairman
Sydney, 29 September 2026

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MOORE

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www.moore-australia.com.au

Auditor's Independence Declaration

Under Section 307c of the Corporations Act 2001

To the directors of Ark Mines Ltd

I declare that, to the best of my knowledge and belief, during the year ended 30 June 2026, there have been:

a) no contraventions of the auditor independence requirements of the *Corporations Act 2001* in relation to the audit, and

b) no contraventions of any applicable code of professional conduct in relation to the audit.

Shaun Williams
Partner – Audit and Assurance
Moore Australia Audit (WA)
Perth
29th day of September 2026

Moore Australia Audit (WA)
Chartered Accountants

Moore Australia Audit (WA) – ABN 16 874 357 907.
An independent member of Moore Global Network Limited - members in principal cities throughout the world.
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ARK MINES LTD.

RARE EARTH AND CRITICAL MINERAL DEVELOPER

ACN 123 668 717

Financial Statements

For the year ended 30 June 2026

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

For the year ended 30 June 2026

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	Note	Consolidated June 2026	Consolidated June 2025
		$	$
Revenue from ordinary activities			
Royalty sale	3, 10, 28	2,005,469	-
Interest income		35,819	5,289
Other income		-	6,000
Total revenue		**2,041,288**	**11,289**
Less: Expenses			
Accounting and secretarial expenses		155,545	99,673
ASX listing costs		36,822	32,863
Audit fees	25	41,232	40,667
Consultants		501,650	517,210
Depreciation	8	27,534	27,534
Directors' fees		158,855	135,000
Employment costs		38,010	-
Exploration costs expensed		-	27,583
Insurance		53,300	55,483
Investor relations		224,277	261,987
Share registry costs		18,068	11,376
Other expenses from ordinary activities		214,176	251,373
Total expenses		**1,469,469**	**1,460,749**
Profit (Loss) from operating activities		**571,819**	**(1,449,460)**
ATO R&D rebate		321,968	290,092
Interest expense		-	(25,753)
Net foreign exchange (losses) gains		(58)	18
Profit (Loss) before income tax		**893,729**	**(1,185,103)**
Income tax expense	4	**-**	**-**
Profit (Loss) from continuing operations after income tax		**893,729**	**(1,185,103)**
Other comprehensive profit (loss) for the year		-	-
Total comprehensive profit (Loss) for the year		**893,729**	**(1,185,103)**
Earnings per share			
Basic - cents per share	26	1.28	(2.08)
Diluted - cents per share	26	1.28	(2.08)

The above Statement of Profit or Loss and Other Comprehensive Income should be read in conjunction with the accompanying notes.

STATEMENT OF FINANCIAL POSITION

As at 30 June 2026

	Note	Consolidated 2026 $	Consolidated 2025 $
Current assets			
Cash and cash equivalents	5	3,845,295	1,301,374
Trade and other receivables	6	68,761	92,881
Prepayments		25,941	21,954
Total current assets		**3,939,997**	**1,416,209**
Non-current assets			
Capitalised exploration and evaluation expenditure	7	6,548,987	5,475,217
Plant and equipment	8	250,593	278,127
Environmental bonds and tenement deposits	9	32,000	9,500
Total non-current assets		**6,831,580**	**5,762,844**
Total assets		**10,771,577**	**7,179,053**
Current liabilities			
Deferred income	10	1,994,531	-
Trade and other payables	11	378,362	198,439
Provisions	12	3,462	-
Total current liabilities		**2,376,355**	**198,439**
Non-current liabilities			
Borrowings	13	-	575,753
Total non-current liabilities		**-**	**575,753**
Total liabilities		**2,376,355**	**774,192**
Net assets		**8,395,222**	**6,404,861**
Equity			
Contributed equity	14	22,815,259	21,718,627
Reserves	15	1,303,175	1,303,175
Accumulated losses	16	(15,723,212)	(16,616,941)
Total equity		**8,395,222**	**6,404,861**

The above Statement of Financial Position should be read in conjunction with the accompanying notes.

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STATEMENT OF CHANGES IN EQUITY

For the year ended 30 June 2026

	Note	Consolidated			
		Issued capital	Reserves	Acc. losses	Total
		$	$	$	$
June 2026					
Balance at 1 July 2025		21,718,627	1,303,175	(16,616,941)	6,404,861
Total comprehensive income for the year		-	-	893,729	893,729
Transactions with owners in their capacity as owners					
Ordinary shares issued, net of transaction costs	14	1,096,632	-	-	1,096,632
Movement for the year		1,096,632	-	893,729	1,990,361
Balance at 30 June 2026		**22,815,259**	**1,303,175**	**(15,723,212)**	**8,395,222**
June 2025					
Balance at 1 July 2024		20,226,465	1,303,175	(15,431,838)	6,097,802
Total comprehensive income for the year		-	-	(1,185,103)	(1,185,103)
Transactions with owners in their capacity as owners					
Ordinary shares issued, net of transaction costs	14	1,492,162	-	-	1,492,162
Movement for the year		1,492,162	-	(1,185,103)	307,059
Balance at 30 June 2025		**21,718,627**	**1,303,175**	**(16,616,941)**	**6,404,861**

The above Statement of Changes in Equity should be read in conjunction with the accompanying notes.

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	Note	Consolidated 2026 $	2025 $
Cash flows from operating activities			
Proceeds from Royalty sale	10	4,000,000	-
Payments to suppliers and employees		(1,421,414)	(1,465,421)
Proceeds from ATO R&D rebate		321,968	290,092
Proceeds from other income		-	6,000
Proceeds from interest received		35,819	5,289
Interest, finance costs and exchange losses		(58)	18
Net cash provided by (used in) operating activities	17	**2,936,315**	**(1,164,022)**
Cash flows from investing activities			
Payment for exploration and evaluation expenditure	17	(980,773)	(905,893)
Payments for plant and equipment	8	-	(20,000)
Payments for environmental deposits	9	(22,500)	-
Net cash used in investing activities		**(1,003,273)**	**(925,893)**
Cash flows from financing activities			
Proceeds from borrowings	17	-	550,000
Proceeds from share issues	14	621,905	1,500,000
Payments for share issue costs	14	(11,026)	(7,838)
Net cash provided by financing activities		**610,879**	**2,042,162**
Net increase (decrease) in cash held		2,543,921	(47,753)
Cash at beginning of financial year		1,301,374	1,349,127
Cash at end of financial year		**3,845,295**	**1,301,374**

The above Statement of Cash Flows should be read in conjunction with the accompanying notes.

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1. Reporting Entity

The financial report is for the entity Ark Mines Ltd (the "Company" or "Ark") and its wholly owned subsidiaries (together, the "Group"). Ark Mines Ltd is a company limited by shares incorporated and domiciled in Australia with its registered address at Level 9, 19 – 29 Martin Place Sydney NSW 2000. Ark Mines Ltd is listed on the ASX.

The principal activity of the Group for the financial year was the exploration, evaluation and development of mineral exploration tenements.

2. Basis of Preparation

Statement of compliance

The financial statements are general purpose financial statements that have been prepared in accordance with Australian Accounting Standards and Interpretations issued by the Australian Accounting Standards Board and the Corporations Act 2001, applicable to for-profit entities. The financial statements of the Group comply with International Financial Reporting Standards as issued by the International Accounting Standards Board.

The financial statements were authorised for issue by a resolution of the Board dated 29 September 2026.

Basis of consolidation

The consolidated financial statements comprise the financial statements of Ark Mines Ltd and its subsidiaries as at 30 June 2026. The financial statements of subsidiaries are prepared for the same reporting period as the Company, using consistent accounting policies. Adjustments are made to bring into line any dissimilar accounting policies that may exist.

All inter-company balances and transactions, including unrealised profits arising from intra-group transactions, have been eliminated in full. Subsidiaries are fully consolidated from date on which control is transferred to the Group and cease to be consolidated from the date on which control is transferred out of the Group.

Basis of measurement

These financial statements have been prepared under the historical cost convention.

Functional and presentation currency

The financial report has been presented in Australian Dollars ($A) which is the functional currency of the Group.

Use of estimates and judgements

The preparation of the financial statements requires the use of certain critical accounting estimates. It also requires management to exercise its judgement in the process of applying the Group's accounting policies. Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and in any future periods affected.

The Directors evaluate estimates and judgments incorporated into the financial report based on historical knowledge and best available current information. Estimates assume a reasonable expectation of future events and are based on current trends and economic data, obtained both externally and within the Group. Information about critical judgements in applying the accounting policies that have the most significant effect on the amounts recognised in the financial statements is included in the following notes.

- Note 7 – Capitalised Exploration and Evaluation Expenditure.

Comparative figures

When required by accounting standards, comparative figures have been adjusted to conform to changes in presentation for the current year.

Going Concern Basis

The Group has made a profit after tax of $893,729 (2025: loss $1,185,103) for the full year and had net cash inflows from operating activities of $2,936,315 (2025: outflows $1,164,022).

As at 30 June 2026, the Group held cash of $3,845,295 and had net current assets of $1,563,642.

The Company also anticipates undertaking a capital raising in the 2027 financial year.

On this basis the Directors are of the opinion that the financial statements can be prepared on a going concern basis and that the Group will be able to pay its debts as and when they fall due and payable.

Should this not be achieved the Group may be required to realise its assets and discharge its liabilities other than in the normal course of business and at amounts different to those stated in the financial statements. The financial statements do not include any adjustments relating to the recoverability and classification of asset carrying amounts or the amount of liabilities that might result should the Group be unable to continue as a going concern and meet its debts as and when they fall due.

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3. Material Accounting Policies

The following is a summary of the material accounting policies adopted by the Group in the preparation of this financial report. The accounting policies have been consistently applied, unless otherwise stated.

Revenue recognition – Note 10 and Note 28

Interest on investments is recognised during the period in which the interest was earned. Interest on amounts owed by the ATO is recognised when the amount plus any interest is received.

During the financial year, the Company received $4,500,000 from the Queensland Critical Minerals and Battery Technology Fund to advance development of its Sandy Mitchell rare earths project. This amount was received as a $500,000 equity investment and a $4,000,000 sale of a 2% Royalty over gross revenues from future product sales from Sandy Mitchell ("Royalty Sale"). A condition of the Royalty Sale is that the Company spends the Royalty Sale amount in accordance with an agreed budget of expenditure ("Sandy Mitchell Budget"). Revenue from the Royalty Sale is recognised progressively and in proportion to the amounts the Company has spent in accordance with the Sandy Mitchell Budget, to the Sandy Mitchell Budget total.

As at 30 June 2026, the Company had spent 50.1% of the Sandy Mitchell Budget and as a consequence, 50.1% of the Royalty Sale amount, equal to $2,005,469 has been shown as Royalty Sale income. The balance of $1,994,531 has been carried forward as Deferred Income to be brought to account as revenue as further expenditures are made in accordance with the Sandy Mitchell Budget.

Income tax – Note 4

The tax loss for current income tax expense is based on the profit for the year adjusted for any non-assessable or disallowed items and is calculated using tax rates that have been enacted or are substantively enacted at the reporting date. Deferred tax is accounted for using the statement of financial position method in respect of temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the financial statements. No deferred income tax will be recognised from the initial recognition of an asset or liability where there is no effect on accounting or taxable profit or loss.

Deferred tax is calculated at the tax rates that are expected to apply to the period when the asset is realised or liability is settled. Deferred tax is credited in the statement of profit or loss and other comprehensive income except where it relates to items that may be credited directly to equity, in which case the deferred tax is adjusted directly against equity.

Deferred income tax assets are recognised to the extent that it is probable that future tax profits will be available against which deductible temporary differences can be utilised. The amount of benefits brought to account or which may be realised in the future is based on the assumption that no adverse change will occur in income taxation legislation and the anticipation that the Group will derive sufficient future assessable income to enable the benefit to be realised and comply with the conditions of deductibility imposed by the law.

In calculating the Groups tax losses, it has been assumed that tax losses from prior years are still available, notwithstanding the capital raising that the Company undertook in December 2021. Brought forward tax losses will normally only available if the Company can satisfy a continuity of ownership test or similar business test. Although there are concessional tracing rules for listed companies, no testing has been undertaken to determine if the Group can satisfy these tests. Furthermore, as the Company was delisted for a period during the Administration concessional tracing rules for listed companies may not be available.

The Company and its subsidiaries formed a tax-consolidated Group and are therefore taxed as a single entity from that date. The members of the tax-consolidated Group are identified on page 46 of this Annual Report. Tax expense/income, deferred tax liabilities and deferred tax assets arising from temporary differences of the members of the tax-consolidated Group are recognised in the separate financial statements of the members of the tax-consolidated Group using the "separate taxpayer within group" approach by reference to the carrying amounts in the separate financial statements of each entity and the tax values applying under tax consolidation. Current tax liabilities and assets and deferred tax assets arising from unused tax losses and relevant tax credits of the members of the tax-consolidated Group are recognised by the Company (as head entity in the tax-consolidated Group). Due to the existence of a tax funding arrangement between the entities in the tax-consolidated Group, amounts are recognised as payable to or receivable by the Company and each member of the Group in relation to the tax contribution amounts paid or payable between the Company and the other members of the tax-consolidated Group in accordance with the arrangement.

Capitalised exploration and evaluation expenditure – Note 7

Capitalised exploration and evaluation expenditure incurred is accumulated in respect of each tenement. These costs are only carried forward to the extent that they are expected to be recouped through the successful development of the tenement or where activities in the tenement have not yet reached a stage that permits reasonable assessment of the existence of economically recoverable reserves.

Once a tenement enters a development phase, historical capitalised exploration expenditure is transferred to capitalised development expenditure. Accumulated costs in relation to an abandoned tenement are written off in the Statement of Profit or Loss and Other Comprehensive Income in the year in which the decision to abandon the tenement is made. When production commences, the accumulated costs for the relevant area of interest are amortised over the life of the tenement according to the rate of depletion of the economically recoverable reserves.

A regular review is undertaken of each tenement to determine the appropriateness of continuing to carry forward costs in relation to that tenement and should the tenement no longer be considered prospective, then the Group will make a provision in the accounts for the carrying value of the tenement.

The ultimate recoupment of costs carried forward for exploration and evaluation expenditure is dependent on the successful development and commercial exploitation or sale of respective tenements.

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3. Material Accounting Policies (cont.)

Plant and equipment – Note 8

Plant and equipment is stated at cost less accumulated depreciation.

Items of equipment have limited lives and are depreciated on a straight-line basis over their estimated useful lives. Depreciation rates and methods are reviewed annually for appropriateness.

No changes have been deemed necessary for the year ending 30 June 2026.

All motor vehicles and other exploration assets are depreciated at the rate of 20% per annum.

Depreciation is expensed to the Statement of Profit or Loss and Other Comprehensive Income.

Earnings per share – Note 26

Basic earnings per share is calculated as the total comprehensive profit or loss for the year, divided by the weighted average number of ordinary shares.

Diluted earnings per share is calculated as the total comprehensive profit or loss for the year divided by the weighted average number of ordinary shares, assuming the exercise of dilutive options over ordinary shares in the Company.

The assumed proceeds from these options are regarded as having been received from the issue of ordinary shares at the average market price of ordinary shares during the financial year. The difference between the number of ordinary shares issued and the number of ordinary shares that would have been issued at the average market price of ordinary shares during the period is treated as an issue of ordinary shares for no consideration and is dilutive.

Goods and services tax (GST)

Revenues, expenses and assets are recognised net of GST, except where the amount of GST incurred is not recoverable from the Australian Taxation Office. In these circumstances, the GST is recognised as part of the cost of acquisition of the asset or as part of the item of the expense. Receivables and payables in the statement of financial position are shown inclusive of GST. Cash flows are presented in the statement of cash flows on a gross basis.

New, revised or amending accounting standards and interpretations not yet mandatory or early adopted

The Group has adopted all of the new, revised or amending Accounting Standards and Interpretations issued by the AASB that are mandatory for the current reporting period.

These standards have no material impact on the Group's current financial reporting period.

Australian Accounting Standards and Interpretations that have recently been issued or amended, but are not yet mandatory, have not been early adopted by the Group for the annual reporting period ended 30 June 2026.

No new, revised or amended accounting standards and interpretations are expected to have a material impact on the financial reporting of the Group.

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	Consolidated	
	2026	2025
	$	$

4. Income Tax Expense

The prima facie tax benefit on profit (loss) before income tax is reconciled to the income tax expense as follows:

Prima facie income tax on profit (loss) before tax at 30.0% (2025: 30.0%)	268,119	(355,531)
Add: tax effect of:		
Non assessable ATO R&D rebate	(96,590)	(84,490)
Add:/(deduct) temporary differences not brought to account:		
Capital raising expenses	(49,808)	(49,146)
Exploration expenditure	(322,131)	(259,138)
Other temporary differences	574,685	(26,214)
Tax losses not recognised	(374,275)	774,519
Income tax expense	**-**	**-**

	Opening	Adjustment	Movement	Closing
	$	$	$	$
Deferred income tax – 2026				
Deferred tax assets:				
Capital raising expenses	76,819	-	(46,500)	30,319
Provisions	16,440	-	13,490	29,930
Deferred income	-	-	598,359	598,359
Tax losses	2,256,591	(199,156)	(374,274)	1,683,161
Total deferred tax assets	**2,349,850**	**(199,156)**	**191,075**	**2,341,769**
Deferred tax liabilities:				
Exploration and evaluation expenditure	(1,231,347)	-	(359,514)	(1,590,861)
Total deferred tax liabilities	**(1,231,347)**	**-**	**(359,514)**	**(1,590,861)**
Net deferred tax assets	**1,118,503**	**(199,156)**	**(168,439)**	**750,908**
Deferred income tax – 2025				
Deferred tax assets:				
Capital raising expenses	123,614	-	(46,795)	76,819
Provisions	6,600	-	9,840	16,440
Tax losses	1,482,072	-	774,519	2,256,591
Total deferred tax assets	**1,612,286**	**-**	**737,564**	**2,349,850**
Deferred tax liabilities:				
Exploration and evaluation expenditure	(935,549)	-	(295,798)	(1,231,347)
Total deferred tax liabilities	**(935,649)**	**-**	**(295,798)**	**(1,231,347)**
Net deferred tax assets	**676,737**	**-**	**441,766**	**1,118,503**

The tax losses and deductible temporary differences do not expire under current tax legislation. Deferred tax assets have not been recognised in respect of these items because it is not yet probable that future taxable profit will be available against which the Group can utilise the benefits.

In calculating the Groups tax losses, it has been assumed that tax losses from prior years are still available, notwithstanding the capital raising that the Company undertook in December 2021. Brought forward tax losses will normally only be available if the Company can satisfy a continuity of ownership test or similar business test. Although there are concessional tracing rules for listed companies, no testing has been undertaken to determine if the Group can satisfy these tests. Furthermore, as the Company was delisted for a period during the Administration, concessional tracing rules for listed companies may not be available.

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		Consolidated	
		2026	2025
		$	$
5.	**Cash and Cash Equivalents**		
	Cash at bank	3,845,295	1,301,374
	Total cash and cash equivalents	**3,845,295**	**1,301,374**
6.	**Trade and Other Receivables**		
	GST recoverable	56,788	85,408
	Other receivables	11,973	7,473
	Total trade and other receivables	**68,761**	**92,881**
7.	**Capitalised Exploration and Evaluation Expenditure**		
	Balance at the beginning of the year	5,475,217	4,611,423
	Exploration and evaluation expenditure capitalised during the year	1,073,770	863,794
	Balance at the end of the year	**6,548,987**	**5,475,217**
8.	**Plant and Equipment**		
	Motor Vehicles and Mining Equipment		
	At cost		
	Balance at the beginning of the year	339,693	319,693
	Additions during the year	-	20,000
	Balance at the end of the year	339,693	339,693
	Accumulated depreciation		
	Balance at the beginning of the year	61,566	34,032
	Charge for the year	27,534	27,534
	Balance at the end of the year	89,100	61,566
	Total plant and equipment	**250,593**	**278,127**
9.	**Environmental Bonds and Security Deposits**		
	EPM 26560 - Gunnawarra	3,000	3,000
	EPM 26464 - Mt Jesse	3,000	3,000
	EPM 26883 - Pluton	3,000	3,000
	EPM 28013 - Sandy Mitchell	20,000	-
	ML 100409 – Sandy Mitchell	2,500	-
	Other	500	500
	Total environmental bonds and security deposits	**32,000**	**9,500**

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	Consolidated	
	2026	2025
	$	$

10. Deferred Income

Unearned income from QIC Royalty sale	1,994,531	-
Total deferred income	**1,994,531**	**-**

During the financial year, the Company received $4,500,000 from the Queensland Critical Minerals and Battery Technology Fund to advance development of its Sandy Mitchell rare earths project. This amount was received as a $500,000 equity investment and a $4,000,000 sale of a 2% Royalty over gross revenues from future product sales from Sandy Mitchell ("Royalty Sale"). A condition of the Royalty Sale is that the Company spends the Royalty Sale amount in accordance with an agreed budget of expenditure ("Sandy Mitchell Budget").

As at 30 June 2026, the Company had spent $2,005,469 in accordance with the Sandy Mitchell Budget. This amount represents 50.1% of the Royalty Sale amount and as a consequence, 50.1% of the Royalty Sale amount, equal to $2,005,469 has been shown as Royalty Sale income. The balance of $1,994,531 has been carried forward as Deferred Income to be brought to account as revenue as expenditures are made in accordance with the Budget. Refer to Note 28 Contingent Assets and Contingent Liabilities for further details.

11. Trade and Other Payables

Trade creditors	269,578	136,051
Accruals	88,580	54,800
Employment payables	12,617	-
Other payables	7,587	7,587
Total trade and other payables	**378,362**	**198,438**

12. Provisions

Employee leave provisions	3,462	-
Total provisions	**3,462**	**-**

13. Borrowings

Loan from related party	-	575,753
Total borrowings	**-**	**575,753**

On 20 December 2024 the Company entered into a convertible loan agreement with Mr Ian Mitchell ("Lender") who was a Director of the Company until 30 June 2026. The Loan was for $350,000, at an interest rate of 10% pa, for a term commencing on 20 December 2024 and ending on 1 October 2026. The Loan was unsecured. On 7 February 2025 the Company entered into a further convertible loan agreement with Mr Mitchell. The Loan was for $200,000, at an interest rate of 10% pa, for a term commencing on 20 December 2024 and ending on 1 October 2026. The Loan was unsecured. (together the "Loans")

Under the terms of the Loans, the Lender could elect to convert the loans to shares conditional on shareholder approval. Mr Mitchell exercised his right to convert the Loans and on 10 October 2025, shareholder approval was obtained for the issue of 2,750,000 fully paid ordinary shares to Mr Mitchell in satisfaction of the $550,000 principal amounts of the Loans. On 1 December 2025, the Company subsequently issued 2,878,765 fully paid ordinary shares to Mr Mitchell at an issue price of $0.20 per share, being the conversion price agreed under the terms of the Loans. Those shares comprised 2,750,000 shares in satisfaction of the $550,000 principal amounts, plus an additional 128,765 fully paid ordinary shares in satisfaction of $25,753 of interest accrued on the Loans up to 30 June 2025.

As a consequence of the above, the Company inadvertently issued 128,765 fully paid ordinary shares to Mr Mitchell in excess of the number approved by shareholders, and issued 2,750,000 fully paid ordinary shares later than the one-month period following Shareholder approval required under ASX Listing Rule 10.13.5. The Company has convened a General Meeting of shareholders for 6 October 2026 to seek shareholder approval for the prior issue of the full 2,878,765 shares to Mr Mitchell. Until this time, the shares issued to Mr Mitchell are being held in a holding lock.

In the event that shareholders do not approve the issue, the Loans are repayable in cash.

On entering the loans, Directors determined that the terms of the Loans were equal to or better than if the Lender and the Company were dealing at arms-length.

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14. Contributed Equity

	Consolidated 2026	Consolidated 2025
Ordinary Shares Number	**No.**	**No.**
Balance at the beginning of the year	66,160,728	55,446,443
Shares issued during the year		
Issued 3 September 2025 on exercise of options	25,000	-
Issued 24 October 2025	2,994,012	-
Issued 31 October 2025 on exercise of options	98,150	-
Issued 31 October 2025 on exercise of options	12,348	-
Issued 1 December 2025	2,878,765	-
Issued 18 December 2025 on exercise of options	8,620	-
Issued 6 January 2026 on exercise of options	75,000	-
Issued 21 January 2026 on exercise of options	75,000	-
Issued 12 February 2026 on exercise of options	10,645	
Issued 5 May 2025	-	10,714,285
Balance at the end of the period	**72,338,268**	**66,160,728**
Ordinary Shares Value	**$**	**$**
Balance at the beginning of the year	21,718,627	20,226,465
Shares issued during the year		
Issued 3 September 2025 @ $0.40	10,000	-
Issued 24 October 2025 @ $0.167	500,000	-
Issued 31 October 2025 @ $0.40	39,260	-
Issued 31 October 2025 @ $0.40	4,939	-
Issued 1 December 2025 @ $0.20	575,753	-
Issued 18 December 2025 @ $0.40	3,448	-
Issued 6 January 2026 @ $0.40	30,000	-
Issued 21 January 2026 @ $0.40	30,000	-
Issued 12 February 2026 @ $0.40	4,258	-
Issued 5 May 2025 @ $0.14	-	1,500,000
Capital raising costs	(101,026)	(7,838)
Balance at the end of the period	**22,815,259**	**21,718,627**

The Company has not declared or paid a dividend during the year. There is no franking account balance for the year ended 30 June 2026 (2025: Nil).

15. Reserves

Share Based Payment Reserve		
Balance at the beginning of the year	1,303,175	1,303,175
Share-based payments during the year	-	-
Balance at the end of the year	**1,303,175**	**1,303,175**

16. Accumulated Losses

Balance at the beginning of the year	(16,616,941)	(15,431,838)
Total comprehensive profit (loss) for the year	893,729	(1,185,103)
Balance at the end of the year	**(15,723,212)**	**(16,616,941)**

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17. Cash Flow Information

	Consolidated 2026 $	Consolidated 2025 $
Reconciliation of cash flow from operations with profit (loss) loss from ordinary activities after income tax		
Profit (loss) from continuing operations after income tax	893,729	(1,185,103)
Non-cash items included in comprehensive income		
Depreciation	27,534	27,534
Interest accrued on borrowings	-	25,753
Royalty sale deferred revenue recognised during the year	(2,005,469)	-
Reallocation of prior year capital raising cost	(45,000)	-
Plus: operating cash receipt not included in comprehensive income		
Royalty Sale amount received in cash	4,000,000	-
Less: investment amounts included in working capital		
Exploration and evaluation costs included in payables	(92,997)	42,099
Capital raising costs included in payables	(45,000)	-
Movements in working capital		
Decrease / (Increase) in trade and other receivables	24,120	(17,457)
(Increase) in prepayments	(3,987)	(4,836)
Increase /(decrease) in trade payables	179,923	(52,012)
Increase in provisions	3,462	-
Cash flow from operations	**2,936,315**	**(1,164,022)**

Reconciliation of Proceeds from Royalty sale

During the year the Company received $4,000,000 from the sale of a 2% Royalty over gross revenues from future product sales from Sandy Mitchell. This reconciles to the $2,005,469 Royalty sale amount included in the Statement of Profit or Loss and Other Comprehensive Income by the deduction of the amount carried forward as Deferred Revenue totalling 1,994,531. Refer Note 10.

Reconciliation of Payments for Exploration and Evaluation Expenditure

During the year the Group capitalised exploration and evaluation expenditure of $1,073,770. This reconciles to the payments for exploration and evaluation expenditure of $980,773 included in the cash flow statement by the net movement of exploration and evaluation amounts in trade payables during the financial year totalling $92,997.

18. Share Options

Unlisted Options over fully paid ordinary shares	No.	No.
Balance at the beginning of the year	5,267,317	5,267,317
Options expired during the year		
Exercised 3 September 2025	(25,000)	-
Exercised 31 October 2025	(98,150)	-
Exercised 31 October 2025	(12,348)	-
Exercised 18 December 2025	(8,620)	-
Exercised 6 January 2026	(75,000)	-
Exercised 21 January 2026	(75,000)	-
Exercised 12 February 2026	(10,645)	-
Balance at the end of the year	**4,962,554**	**5,267,317**

All options were immediately exercisable @ $0.40 on 30 June 2026 and expired on 26 July 2026.

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19. Related Party Transactions

	Consolidated 2026	Consolidated 2025
	$	$
Provision of services		
Roger A Jackson	177,970	170,981
Benjamin P Emery	305,250	276,300
Thomas W Patterson	61,050	-
Total provision of services	**544,270**	**447,281**
Provision (conversion) of convertible loans		
Ian B Mitchell	(575,753)	575,753
Total provision (conversion) of convertible loans	**(575,753)**	**575,753**

Both Mr Jackson and Mr Emery provide executive services to the Group under a services contract which is approved by the Board. Mr Jackson is the Company's Executive Chairman, and Mr Emery is the Company's Managing Director. Refer to Note 13 for details of loans made to the Company by Mr Ian Mitchell.

All related party transactions have to receive Board approval in advance. All payments to related parties also receive Board approval. All transactions with Directors and their associates are conducted on an arms-length basis and in the ordinary course of business.

The Board is sufficiently knowledgeable and experienced to ensure that amounts paid for these services is in line with commercial expectations. Refer also to Note 20 for Key Management Personnel Disclosures.

20. Directors and Key Management Personnel disclosures

	Position
Directors	
Roger A Jackson	Executive Chairman
Benjamin P Emery	Managing Director
Thomas W Patterson *(Appointed - 9 April 2026)*	Director – Non-Executive
Ian B Mitchell *(Retired as a Director - 30 June 2026 and as a Secretary - 6 August 2026)*	Director - Non-Executive and Company Secretary
Key Management Personnel	
Ian K White	Chief Financial Officer and Company Secretary

Director and KMP remuneration		
Short-term remuneration	823,723	657,934
Long-term remuneration	-	-
Total remuneration	**823,723**	**657,934**

20. Directors and Key Management Personnel disclosures (cont.)

Directors' and KMP shareholdings including holdings of their closely related entities as at 30 June 2026.

Director	Holding type	Shares			
		30-Jun-25	Acquired	Disposed	30-Jun-26
Roger A Jackson	Direct	35,313	-	-	35,313
	Indirect	1,042,516	-	-	1,042,516
	Total	**1,077,829**	**-**	**-**	**1,077,829**
Benjamin P Emery	Direct	-	-	-	-
	Indirect	8,250,000	-	-	8,250,000
	Total	**8,250,000**	**-**	**-**	**8,250,000**
Thomas W Patterson	Direct	-	-	-	-
	Indirect	-	53,000	-	53,000
	Total	**-**	**53,000**	**-**	**53,000**
Ian B Mitchell	Direct	1,004,931	2,878,765 [1]	-	3,883,696
	Indirect	126,500	-	-	126,500
	Total	**1,131,431**	**2,878,765**	**-**	**4,010,196**
Ian K White	Direct	12,675			12,675
	Indirect	-	-	-	-
	Total	**12,675**	**-**	**-**	**12,675**

1. These shares are currently subject to a holding lock. Refer Notes 13 and 28 for further details.

No Director holds any options over ordinary shares in the Company as at 30 June 2026.

21. Commitments

Tenement Expenditures

The Group holds an exploration tenement; EPM 26464, EPM 26560, EPM 26883, EPM 28013 and EPM 29189 ("Tenements") in Queensland, Australia. In order to retain its current rights of tenure to the Tenements, the Company is required to comply with tenement obligations specified by the State Government, including the completion of activities-based works programs which are assessed over the life of the Tenements.

There are no set annual expenditure amounts. If Tenement obligations are not met, it may result in the loss of the Tenement or a reduction in the Tenement area. The Group is presently on track to meet all of its Tenement obligations.

Royalty Sale Expenditure Commitment

During the financial year. the Company received $4,500,000 from the Queensland Critical Minerals and Battery Technology Fund to advance development of its Sandy Mitchell rare earths project. This amount included a $4,000,000 sale of a 2% Royalty over gross revenues from future product sales from Sandy Mitchell ("Royalty Sale"). A condition of the Royalty Sale is that the Company spends the $4,000,000 Royalty sale amount in accordance with an agreed budget of expenditure ("Sandy Mitchell Budget").

As at 30 June 2026, the Company had spent $2,005,469 in accordance with the Sandy Mitchell Budget. The Company is commitment to spend a further $1,994,531 in accordance with the Sandy Mitchell Budget. Refer Note 10 and Note 28 for further details.

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22. Financial Risk Management

The Group's financial instruments consist mainly of deposits with banks, accounts receivable and payable. Exposure to currency risk, interest rate and liquidity risk arises in the normal course of the business. The Group's overall financial risk management strategy is to seek to ensure that the Group is able to fund its business plans.

	Note	Current Interest rate	Fixed Interest rate	Floating Interest rate	Non-interest Bearing	Total
			$	$	$	$
Financial assets						
Cash held interest bearing account	5	1.35%	-	3,680,819	-	**3,680,819**
Cash held in transaction account	5	0.00%		163,267	-	**163,267**
Cash held in US$ bank account	5	0.00%	-	1,209	-	**1,209**
Other receivables	6	0.00%	-	-	11,973	**11,973**
Financial liabilities						
Trade and other payables	11	0.00%	-	-	378,362	**378,362**
			-	**3,845,295**	**390,335**	**4,235,630**

The Group uses various risk mitigation measures dependent on the types of risk to which it is exposed. These methods include cash flow at risk analysis in the case of interest rate and foreign exchange risk. Financial risk management is carried out by the Executive Chairman under policies approved by the Directors. Where appropriate, the Directors provide written principles for overall risk management.

Credit risk

Credit risk refers to the risk that counterparty will default on its contractual obligations resulting in financial loss to the Group. The Group's credit risk exposure is limited to cash and cash equivalents. Management have reduced this risk by depositing cash with financial institutions with a credit rating of AAA or higher.

Interest rate risk

The Group's main interest rate risk arises from interest earnings on its surplus cash. The Group is exposed to interest rate risk to the extent its interest earnings may fluctuate. The impact of a 1% movement in the interest rate on the funds invested when all other variables are held constant is immaterial.

Exchange rate risk

The Group's exchange rate risk arises from its cash deposited in a US dollar bank account. The Group is exposed to exchange rate risk to the extent that the exchange rate between US dollars and Australian dollars may fluctuate. The Group's objective is to minimise this risk through careful monitoring of the exchange rate and to draw down sufficient funds when the rate is favourable.

Liquidity risk

Prudent liquidity risk management implies maintaining sufficient cash and marketable securities, the availability of funding to meet ongoing operational requirements, exploration expenditure, and small to medium sized opportunistic projects and investments, by keeping surplus cash available.

The Group's objective is to safeguard its ability to continue as a going concern and to maintain a conservative capital structure so that management can focus on running its core business together with being an attractive investment for shareholders and potential investors. The Group will consider the most appropriate use of debt and equity to maximise its returns while maintaining a low-risk capital structure. The following is a maturity analysis of the Company's financial liabilities:

	Note	Total	Less than one year	Greater than one year	Maturity Details
		$	$	$	
Financial liabilities					
Trade creditors	11	**269,578**	269,578	-	Usually, payable each 30 days

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22. Financial Risk Management (cont.)

Fair values

The Group has a number of financial instruments which are not measured at fair value in the Statement of Financial Position. The fair values are not materially different to their carrying amounts, since the instruments are short term in nature.

23. Segments

During the financial year, the Group operated in the Australian mining exploration sector only.

24. Parent Company Information

	2026	2025
	$	$
Statement of Financial Position		
Assets		
Total current assets	3,962,996	1,416,708
Total non-current assets	6,814,033	5,766,152
Total assets	**10,777,029**	**7,182,860**
Liabilities		
Total current liabilities	2,376,355	198,439
Total non-current liabilities	-	575,753
Total liabilities	**2,376,355**	**774,192**
Net assets	**8,400,674**	**6,408,668**
Equity		
Contributed equity	22,815,259	21,718,627
Reserves	1,303,175	1,303,175
Accumulated losses	(15,717,760)	(16,613,134)
Total equity	**8,400,674**	**6,408,668**
Statement of Profit or Loss and Other Comprehensive Income		
Profit (loss) before income tax	895,374	(1,183,498)
Total comprehensive profit (loss) for the year	**895,374**	**(1,183,498)**

25. Auditor's Remuneration

Audit and review of the financial reports – Moore Australia Audit (WA)	41,232	40,667
Total auditor's remuneration	**41,232**	**40,667**

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26. Earnings Per Share

	Consolidated	
	No	No
		Weighted Av.
Basic Earnings Per Share		
Ordinary share number 2026 financial year		
Balance at the beginning of the year	66,160,728	65,979,466
Issued 3 September 2025 on exercise of options	25,000	20,548
Issued 24 October 2025	2,994,012	2,042,490
Issued 31 October 2025 on exercise of options	98,150	65,075
Issued 31 October 2025 on exercise of options	12,348	8,187
Issued 1 December 2025	2,878,765	1,664,163
Issued 18 December 2025 on exercise of options	8,620	4,582
Issued 6 January 2026 on exercise of options	75,000	35,959
Issued 21 January 2026 on exercise of options	75,000	32,877
Issued 12 February 2026 on exercise of options	10,645	4,025
Balance at end of the year	**72,338,268**	**69,857,372**
Ordinary share number 2025 financial year		
Balance at the beginning of the year	55,446,443	55,294,535
Issued 5 May 2025	10,714,285	1,643,835
Balance at end of the year	**66,160,728**	**56,938,370**

	2026	2025
	$	$
Total comprehensive profit (loss) for the year	893,729	(1,185,103)
Basic - cents per share	**1.28**	**(2.08)**

	No	No
		Weighted Av.
Diluted Earnings Per Share		
Diluted ordinary share number 2026 financial year		
Ordinary share number at the end of the 2026 financial year	72,338,268	69,857,372
Add:		
Dilutive potential of options	-	-
Diluted balance at the end of the year	**72,338,268**	**69,857,372**
Diluted ordinary share number 2025 financial year		
Ordinary share number at the end of the 2025 financial year	66,160,728	56,938,370
Add:		
Dilutive potential of options	-	-
Diluted balance at the end of the year	**66,160,728**	**56,938,370**

	2026	2025
	$	$
Total comprehensive profit (loss) for the year	893,729	(1,185,103)
Diluted - cents per share	**1.28**	**(2.08)**

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27. Subsequent Events

On 1 July 2026, the Company announced the retirement of Mr Ian Mitchell as a Director of the Company.

On 1 July 2026, the Company further announced the granting of Exploration Permit Mineral EPM 29189 for the Jackson Fluorite Project, located near Chillagoe in North Queensland. The EPM has a five-year term expiring 25 June 2031, covering 8 sub-blocks.

On 30 July 2026, the Company announced that it had inadvertently breached ASX listing Rule 10.11 by issuing shares in satisfaction of a converting loan to former Director; Mr Ian Mitchell. The Company has convened a General Meeting of shareholders scheduled for 6 October 2026 to seek shareholder re-approval of this issue. If shareholders do not re-approve this issue, the loan will be required to be repaid in cash. Refer Note 13 for further details.

On 6 August 2026, the Company announced the retirement of Mr Ian Mitchell as Company Secretary.

On 20 August 2026, the Company announced the completion of its Stage 3 resource expansion drill programme and assay reconciliation at the Sandy Mitchell Project with 218 vertical holes drilled for 2,330.5 metres across 18 drill lines. The results from Stages 1, 2 and 3 were used by resource consultants HGS Australia to prepare an updated Mineral Resource Estimate reported in accordance with the JORC Code (2012). The updated Mineral Resource Estimate, together with the IHC Mining metallurgical test work programme, is intended to inform an updated Scoping Study and the subsequent Pre-Feasibility Study.

On 22 September 2026 the Company announced an updated JORC (2012) Mineral Resource Estimate ("MRE") for Sandy Mitchell of 379.4 Mt at 5,430 ppm Monazite Equivalent ("MzEq"), reported at a 1,957 ppm MzEq lower cut-off grade (refer Notes and ASX References on page 17 for the MzEq calculation). The estimate comprises a Measured Resource of 73.2 Mt at 4,990 ppm MzEq, an Indicated Resource of 296.4 Mt at 5,570 ppm MzEq and an Inferred Resource of 9.8 Mt at 4,630 ppm MzEq. Measured and Indicated material represents 97% of the estimate by tonnage. The estimate supersedes the Measured Mineral Resource of 71.8 Mt at 1,732.7 ppm MzEq reported on 2 October 2024, which was the Mineral Resource in place at 30 June 2026.

The updated MRE announced on 22 September 2026, is the estimate shown in the annual Mineral Resource Statement on pages 53 to 54.

The deposit is a shallow, sand-hosted rare earth and heavy minerals system that is simple to mine and amenable to low-cost gravity beneficiation.

28. Contingent Assets and Contingent Liabilities

Royalty Sale Amount

Under the terms of the Royalty Deed pursuant to which the Company received the Royalty Sale amount included in the Statement of Profit and Loss and Other Comprehensive Income, and Note 10 - Deferred Income, the Group is required to make certain expenditures related to its Sandy Mitchell project in accordance with an agreed budget.

In the event that the Company does not make expenditures in accordance with this budget, the Royalty Holder is entitled to recover any amounts not spent in accordance with this budget.

As at 30 June 2026, the Company has made expenditures on the Sandy Mitchell Project substantially in accordance with this budget.

Loan Repayment to Ian Mitchell

As outlined in Note 13, the Company inadvertently issued 128,765 fully paid ordinary shares to Mr Ian Mitchell while he was a Director of the Company, in excess of the number approved by shareholders, and issued 2,750,000 fully paid ordinary shares later than the one-month period following Shareholder approval required under ASX Listing Rule 10.13.5.

The Company has convened a General Meeting of shareholders for 6 October 2026 to seek Shareholder approval for the prior issue of the full 2,878,765 shares to Mr Mitchell.

In the event that shareholders do not approve the issue, the loans totalling $575,753 are repayable in cash.

CONSOLIDATED ENTITY DISCLOSURE STATEMENT

For the year ended 30 June 2026

Subsidiary	Entity Type	Place of Incorporation	Ownership	Australian Tax Residency Status	Foreign Tax Residency Status
Ark Mines Ltd	Body corporate	Australia	Parent Co.	Australia	NA
MIJ Holding Co Pty Ltd	Body corporate	Australia	100%	Australia	NA
Gunnawarra Pty Ltd	Body corporate	Australia	100%	Australia	NA
Mt Jesse Pty Ltd	Body corporate	Australia	100%	Australia	NA
Mt Pluton Base Pty Ltd	Body corporate	Australia	100%	Australia	NA
Gunnawarra Contracting Pty Ltd	Body corporate	Australia	100%	Australia	NA

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In the Directors' opinion;

- the attached financial statements and notes thereto comply with the Corporations Act 2001, the Accounting Standards, the Corporations Regulations 2001 and other mandatory professional reporting requirements;
- the attached financial statements and notes thereto comply with International Financial Reporting Standards as issued by the International Accounting Standards Board as described in Note 2 to the financial statements;
- the attached financial statements and notes thereto give a true and fair view of the Company's financial position as at 30 June 2026 and of its performance for the financial year ended on that date;
- There are reasonable grounds to believe that the Company will be able to pay its debts as and when they become due and payable; and
- The information included in the Consolidated Entity Disclosure Statement is true and correct.

The Directors have been given the declarations required by section 295A of the Corporations Act 2001.

Signed in accordance with a resolution of directors made pursuant to section 295(5)(a) of the Corporations Act 2001.

On behalf of the directors,



Roger Jackson
Executive Chairman
Sydney, 29 September 2026

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Independent Auditor's Report
To the members of Ark Mines Ltd

Report on the Audit of the Financial Report

Opinion

We have audited the financial report of Ark Mines Ltd (the Company) and its subsidiaries (the "Group"), which comprises the consolidated statement of financial position as at 30 June 2026, the consolidated statement of profit or loss and other comprehensive income, the consolidated statement of changes in equity and the consolidated statement of cash flows for the year then ended, and notes to the financial statements, including material accounting policy information, the consolidated entity disclosure statement and the directors' declaration.

In our opinion, the accompanying financial report of the Group is in accordance with the *Corporations Act 2001*, including:

i. giving a true and fair view of the Group's financial position as at 30 June 2026 and of its financial performance for the year then ended; and

ii. complying with Australian Accounting Standards and the *Corporations Regulations 2001*.

Basis for Opinion

We conducted our audit in accordance with Australian Auditing Standards. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Report section of our report. We are independent of the Group in accordance with the auditor independence requirements of the *Corporations Act 2001* and the ethical requirements of the Accounting Professional and Ethical Standards Board's APES 110 *Code of Ethics for Professional Accountants (including Independence Standards)* (the "Code") that are relevant to our audit of the financial report in Australia. We have also fulfilled our other ethical responsibilities in accordance with the Code.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the financial report of the current period. These matters were addressed in the context of our audit of the financial report as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

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Key audit matter	How the matter was addressed in our audit
Carrying value of Exploration & Evaluation Expenditure Assets	
Refer to Note 7 Capitalised Exploration & Evaluation Expenditure	
On 30 June 2026, the carrying value of the Group's Exploration and Evaluation assets was $6.5 million. Total additions during the year were $1 million. The Group is required to capitalise its exploration and evaluation expenditure and assess the capitalised expenditure (asset) for impairment in accordance with AASB 6 "*Exploration for and Evaluation of Mineral Resources*". This is a key audit matter because of the significant value attributed to the asset in the accounts and the significant management judgement involved in determining the appropriate treatment of such expenditure and if impairment indicators exist at reporting date which may suggest the carrying value is in excess of the estimated recoverable value.	Our procedures included, amongst others: • Reviewed management's records of capitalised exploration and evaluation expenditure, by area of interest, reconciled the expenditure to the general ledger and performed test of details for additions. • Ensured capitalised exploration and evaluation expenditure has been properly recorded in respect of each area of interest in accordance with requirements set out in AASB 6. • Carried out a review of management's assessment of impairment indicators in accordance with AASB 6 including – Confirmed that rights of tenure continue to exist in relation to exploration projects; and – Discussed with management their ongoing exploration and evaluation plans in respect of significant areas of interest including budgeted expenditure over the next 12 months. • Assessed the accuracy and adequacy of any impairments recorded in respect of the year ended 30 June 2026.
Royalty Sale	
Refer to Note 3 Revenue Recognition	
During the year the Group has received $4.5 million from the Queensland Critical Minerals and Battery Technology Fund in connection with the development of the Sandy Mitchell rare earths project. The funding comprised a $500,000 equity investment and $4.0 million consideration for the sale of a 2% royalty over future gross revenues from the project. Under the terms of the agreement, the Group is required to expend the funds in accordance with an agreed development budget for the Sandy Mitchell project. Revenue is recognised progressively as qualifying expenditure is incurred for the project	Our procedures included, amongst others: • Obtained an understanding of the arrangement and evaluating management's accounting treatment against the requirements of AASB 15 "Revenue from Contracts with Customers". • Assessed the key contractual terms and conditions relevant to revenue recognition; • Test the actual expenditure to supporting invoices for the Sandy Mitchell rare earth project; • Reviewed the calculation of the amount of revenue recognised and deferred income; and • Assessed the adequacy of the disclosures relating to the royalty sale arrangement, recognised revenue and deferred income included in the financial statements.

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Key audit matter	How the matter was addressed in our audit
This is a key matter as the recognition of income involved significant judgement in determining the extent to which expenditure incurred satisfied and whether the corresponding amount of revenue had been recognised in the appropriate reporting period. As at 30 June 2026, management determined that 50.1% of the approved budget had been incurred and accordingly recognised revenue of $2.01 million, with the remaining $1.99 million recorded as deferred income.	

Other information

The directors are responsible for the other information. The other information comprises the information included in the Group's annual report for the year ended 30 June 2026 but does not include the financial report and our auditor's report thereon. Our opinion on the financial report does not cover the other information and accordingly we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial report, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial report or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

When we read the annual report, if we conclude that there is a material misstatement therein, we are required to communicate the matter to the directors and will request that it is corrected. If it is not corrected, we will seek to have the matter appropriately brought to the attention of users for whom our report is prepared.

Responsibilities of the Directors for the Financial Report

The directors of the Company are responsible for the preparation of:

a) the financial report (other than the consolidated entity disclosure statement) that gives a true and fair view in accordance with Australian Accounting Standards and the *Corporations Act 2001*; and

b) the consolidated entity disclosure statement that is true and correct in accordance with the *Corporations Act 2001*, and

c) for such internal control as the directors determine is necessary to enable the preparation of:

   i. the financial report (other than the consolidated entity disclosure statement) that gives a true and fair view and is free from material misstatement, whether due to fraud or error; &

   ii. the consolidated entity disclosure statement that is true and correct and is free of misstatement, whether due to fraud or error.

In preparing the financial report, the directors are responsible for assessing the ability of the Group to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Auditor's Responsibilities for the Audit of the Financial Report

Our objectives are to obtain reasonable assurance about whether the financial report as a whole is free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with the Australian Auditing Standards will always detect a material misstatement when it

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exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of this financial report.

A further description of our responsibilities for the audit of the financial report is located on the Auditing and Assurance Standards Board website at: https://www.auasb.gov.au/media/bwvicgre/ar1_2024.pdf.

This description forms part of our auditor's report.

Report on the Remuneration Report

Opinion on the Remuneration Report

We have audited the Remuneration Report as included in the Directors' Report for the year ended 30 June 2026.

In our opinion, the Remuneration Report of Ark Mines Ltd, for the year ended 30 June 2026 complies with section 300A of the *Corporations Act 2001*.

Responsibilities

The directors of the Company are responsible for the preparation and presentation of the Remuneration Report in accordance with section 300A of the *Corporations Act 2001*. Our responsibility is to express an opinion on the Remuneration Report, based on our audit conducted in accordance with Australian Auditing Standards.

Shaun Williams
Partner – Audit and Assurance
Moore Australia Audit (WA)
Perth
29th day of September 2026

Moore Australia Audit (WA)
Chartered Accountants

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SCHEDULE OF TENEMENTS

As at 30 June 2026

Exploration Licence	Title Name	Title Holder	Interest	Location	Mineral	Grant Date	Expiry Date	Status
EPM 28013	Sandy Mitchell	Ark Mines Ltd	100%	120kms Northwest of Chillagoe - North Queensland	Rare Earths	21-Aug-22	20-Aug-27	Current
EPM 26560	Gunnawarra	Gunnawarra Pty Ltd	100%	40km South of Mt Garnet - North Queensland	Nickel / Cobalt	23-Nov-13	22-Nov-25	Renewal lodged
EPM 26464	Mt Jesse	Mt Jesse Pty Ltd	100%	40kms North of Mt Garnet - North Queensland	Copper / Iron	05-Oct-23	04-Oct-25	Renewal lodged
EPM 26883	Mt Pluton	Mt Pluton Base Pty Ltd	100%	90km East of Dimbulah - North Queensland	Gold	07-Mar-19	06-Mar-27	Current
EPM 29189	Jackson Fluorite	Ark Mines Ltd	100%	30km Southwest of Chillagoe - North Queensland	Fluorite	26-Jun-2026	25-Jun-31	Current
ML 100409	Sandy Mitchell	Ark Mines Ltd	100%	130km Northwest of Chillagoe - North Queensland	Rare Earths	12-Mar-26	31-Mar-36	Current

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As at 22 September 2026 [1]

Sandy Mitchell	Tonnes (000)	Mzeq (ppm)	Altered Ilmenite (ppm)	CREO (ppm)	High Ti Leucoxene (ppm)	Ilmenite (ppm)	Low Ti Leucoxene (ppm)	Magreo (ppm)	Monazite (ppm)	Rutile (ppm)	TREO (ppm)	TREO + Y (ppm)	Xenotime (ppm)	Zircon (ppm)	Garnet %	Muscovite %	Biotite %	TCM %	THM %
Measured Resource	73,191	4,990	230	110	220	250	140	100	1,310	80	400	430	50	660	2.3	1.2	10.9	14.7	2.6
Indicated Resource	296,388	5,570	250	100	240	270	150	80	1,360	80	330	360	50	660	2.9	1.1	12.3	16.6	3.2
Inferred Resource	9,842	4,630	250	100	240	270	150	90	930	80	340	370	40	660	2.2	1.1	11.7	15.2	2.4
Total	**379,421**	**5,430**	**250**	**100**	**240**	**270**	**150**	**90**	**1,340**	**80**	**340**	**370**	**50**	**670**	**2.7**	**1.1**	**12.0**	**16.2**	**3.0**

As at 30 June 2025 [2]

Sandy Mitchell	Tonnes (000)	Mzeq (ppm)	Altered Ilmenite (ppm)	CREO (ppm)	High Ti Leucoxene (ppm)	Ilmenite (ppm)	Low Ti Leucoxene (ppm)	Magreo (ppm)	Monazite (ppm)	Rutile (ppm)	TREO (ppm)	TREO+ Y+Sc (ppm)	Xenotime (ppm)	Zircon (ppm)	LREO (ppm)	HREO (ppm)	THM (ppm)
Measured Resource	71,790	1,733	314	111	304	340	193	99	1,229	105	404	457	116	663	390	14	3,263
Indicated Resource	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Inferred Resource	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total	**71,790**	**1,733**	**314**	**111**	**304**	**340**	**193**	**99**	**1,229**	**105**	**404**	**457**	**116**	**663**	**390**	**14**	**3,263**

Competent Person Statement – Sandy Mitchell

The resource estimates included in the above Mineral Resource Statement are classified in accordance with the Australasian Code for Reporting of Identified Mineral Resources and Ore Reserves (JORC, 2012).

The Resource estimate is based on and fairly represents information and supporting documentation prepared by Andrew Hawker of HGS Australia.

Mr Hawker is a Member of the Australasian Institute of Mining and Metallurgy and the Australian Institute of Geoscientists. Mr Hawker has sufficient experience that is relevant to the style of mineralisation and type of deposit under consideration and to the activity being undertaken to qualify as a Competent Person as defined in the 2012 Edition of the Australasian Code for Reporting of Exploration Results, Mineral Resources and Ore Reserves. Mr Hawker consents to the inclusion in this Mineral Resources Statement of matters based on his information and the form and context in which it appears.

Notes

1. As the Company announced a mineral resource upgrade on 22 September 2026, the Mineral Resource Statement has been presented as at this date. There were no changes in the Mineral Resource Estimate in the period between 22 September 2026 and the date of this report.
2. Refer to page 10 for comments on comparing the above two tables.

MINERAL RESOURCE STATEMENT - GUNNAWARRA

As 30 June 2026

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As at 30 June 2026

Gunnawarra	Tonnes	Grade ppm.	Tonnes Metal
Inferred Resource			
Nickel	1,341,000	5,350	7,200
Cobalt	602,000	660	400
Copper	191,500	540	100
Indicated Resource			
Nickel	-	-	-
Cobalt	-	-	-
Copper	-	-	-
Measured Resource			
Nickel	-	-	-
Cobalt	-	-	-
Copper	-	-	-

As at 30 June 2025

Gunnawarra	Tonnes	Grade ppm.	Tonnes Metal
Inferred Resource			
Nickel	1,341,000	5,350	7,200
Cobalt	602,000	660	400
Copper	191,500	540	100
Indicated Resource			
Nickel	-	-	-
Cobalt	-	-	-
Copper	-	-	-
Measured Resource			
Nickel	-	-	-
Cobalt	-	-	-
Copper	-	-	-

Competent Persons Statement - Gunnawarra

The information in this Mineral Resource Statement is based on, and fairly represents information and supporting documentation compiled by Mr Roger Jackson, Executive Chairman and Shareholder of the Company. Mr Jackson is a Fellow of the Australasian Institute of Mining and Metallurgy and a Member of Australian Institute of Company Directors.

Mr Jackson consents to the inclusion of the data contained in relevant resource reports used for this Mineral Resource Statement as well as the matters, form and context in which it appears.

Mr Jackson has approved this mineral resource statement for inclusion in this Annual Report.

Summary of the results of annual review of mineral resources:

Sandy Mitchell

On 22 September 2026[1], the Company announced an updated JORC (2012) Mineral Resource Estimate for Sandy Mitchell of 379.4 Mt at 5,430 ppm Monazite Equivalent ("MzEq"), reported at a 1,957 ppm MzEq lower cut-off grade (see page 17 for MzEq calculation). The estimate comprises a Measured Resource of 73.2 Mt at 4,990 ppm MzEq, an Indicated Resource of 296.4 Mt at 5,570 ppm MzEq and an Inferred Resource of 9.8 Mt at 4,630 ppm MzEq.[2] The estimate supersedes the Measured Mineral Resource of 71.8 Mt at 1,732.7 ppm MzEq reported on 2 October 2024, which was the Mineral Resource as at 30 June 2025, and 30 June 2026.

As the Company announced a mineral resource upgrade on 22 September 2026, the Mineral Resource Statement has been presented as at this date. There were no changes in the Mineral Resource Estimate in the period between 22 September 2026 and the date of this report.

Gunnawarra

There were no changes in the Mineral Resource Estimate in the period between 30 June 2026 and the date of this report.

Governance arrangements and internal controls in place with respect to mineral resource estimates:

The Gunnawarra MRE and the Sandy Mitchell MRE were determined by independent consultants HGS Australia. The use of independent consultants to determine mineral resource estimates forms the basis of the Group's governance and internal control procedures for this activity.

Notes

1. *All material assumptions and technical parameters underpinning the estimates in the market announcements referred to in this Mineral Resource Statement continue to apply and have not materially changed.*
2. *Refer to page 17 for monazite equivalent calculation.*

Additional information required by the Australian Securities Exchange Limited and not shown elsewhere in this report is as follows. The information is current as at 25 August 2026.

Twenty Largest Shareholders

The names of the twenty largest holders of quoted shares are:

N°	Shareholder	Shares	%
1	KSF Fund No. Two Pty Ltd	9,285,714	12.84
2	Ms Justine Davina Michel	8,205,701	11.34
3	Bmax Holdings Pty Ltd	8,000,000	11.06
4	Mr Ian Burnham Mitchell	3,322,825	4.59
5	HSBC Custody Nominees (Australia) Limited	3,054,897	4.22
6	Chaleyer Holdings Pty Ltd <Rubben Family A/C>	2,000,000	2.76
7	Mr Troy Wayne Johnstone	1,785,951	2.47
8	Mr Gregory John Munyard + Mrs Maria Ann Munyard + Mrs Carmen Helene Cruz <Riviera Super Fund A/C>	1,483,000	2.05
9	Anne Marie Karreman	1,428,571	1.97
10	Mr Matthew Thomas Healy	1,389,942	1.92
11	Mr Robert Cameron Galbraith	1,008,310	1.39
12	RJ Consolidated Pty Ltd <Super Fund A/C>	952,000	1.32
13	Mr Antony Corel	920,130	1.27
14	Mr Simon William Tritton <Investment A/C>	720,000	1.00
15	Ms Justine Davina Michel <Lambrecht Investment A/C>	671,864	0.93
16	Mr Henry Burton Presser	512,627	0.71
17	Ms Jacqueline Bryer	500,000	0.69
18	Cove Street Advisors Pty Ltd	500,000	0.69
19	Filmrim Pty Ltd <Majufe Super A/C>	500,000	0.69
20	Robert C Galbraith	500,000	0.69
Total		**47,241,532**	**65.31**

Distribution of Equity Securities

Fully paid ordinary shares

Range	Number of holders	Number of shares	%
1 - 1,000	213	96,345	0.13
1,001 - 5,000	247	651,510	0.90
5,001 - 10,000	152	1,339,629	1.85
10,001 - 100,000	259	9,243,297	12.78
100,001 Over	92	61,007,487	84.34
Total	**963**	**72,338,268**	**100.00**

The number of shareholders holding less than a marketable parcel is 257.

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ADDITIONAL ASX INFORMATION

As at 25 August 2026

Substantial Shareholders

Substantial Shareholders and the number of equity securities in which the holder has an interest, as shown in the Company's Register of Substantial Shareholders are:

Shareholder	Shares	%
Ms Justine Davina Michel	8,205,701	11.34
Mr Benjamin Emery [1]	8,250,000	11.40
Bmax Holdings Pty Ltd	8,000,000	11.06

1. Includes the holding of Bmax Holdings Pty Ltd.

Class of Shares and Voting Rights

The voting rights attached to ordinary shares, as set out in the Company's Constitution, are that every member in person or by proxy, attorney or representative, shall have one vote when a poll is called, otherwise each member present at a meeting has one vote on a show of hands. No voting rights attach to any other class of equity security.

Restricted Securities

There are currently 2,878,765 shares subject to a holding lock. Refer to Note 13 and Note 28 for further details. There are no other securities subject to restrictions.

On Market Buy-back

There is no current on-market buy back.

Mining Exploration Tenements

Details of the exploration tenements held by the Group are included in this Annual Report on page 52.

Mineral Resources and Ore Reserves

A table of mineral resources and ore reserves held by the Group together with a summary of the results of annual review of mineral resources, and details of the governance arrangements and internal controls in place with respect to mineral resource estimates, is included in this Annual Report on pages 53 and 54.

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